M&A Discussion – Sun Pharmaceutical's $11.8 B Acquisition of Organon & Co

October 6, 2026

Analysis by: Jay Prakash

Portfolio: https://jay-finance.github.io/portfolio/

Table of Contents

I.	**Executive Summary**		**P. 3**
II.	**Valuation of Target**		**P. 7**
	a.	Key Assumptions in the Projection	P. 9
	b.	Discounted Cash Flow Analysis	P. 13
	c.	Returns Analysis	P. 16
	d.	Public Trading Comps Analysis	P. 20
III.	**Merger Analysis**		**P. 22**
	a.	Key Deal Assumptions	P. 23
	b.	Key Assumptions for Target and Acquirer standalone Projections	P. 28
	c.	Accretion / Dilution Analysis	P. 29
IV.	**Recommendation**		**P. 33**
Appendix			*P. 35*
	WACC Analysis		*P. 36*
	Supporting Statements		*P. 38*
	Limitations to the Study		*P. 50*

Executive Summary

Transaction Summary

Context:	▪ Target: Organon (Ticker: OGN) has been listed on the NYSE since its spin-off from Merck & Co. in June 2021, structured as a standalone women's health, biosimilars, and established brands pharmaceutical company. Organon has a portfolio of 70+ products across 140+ countries, with established commercial infrastructure in the U.S., Europe, China, Canada and Brazil. ▪ Acquirer: Sun Pharmaceutical Industries (Ticker: SUNPHARMA), via its subsidiary "Sun Pharmaceutical Holdings USA", entered into a definitive merger agreement to acquire 100% of Organon's issued and outstanding shares. — Sun Pharma is a leading India-based specialty and generics pharmaceutical company; the transaction represents a significant scale-up in Sun Pharma's branded/specialty portfolio while expanding its presence in Women's Health and Biosimilars. Sun Pharma adds a substantial increase in leverage from a historically near-debt-free balance sheet from this deal. — The combined company is expected to have approximately $12.4bn of revenue, presence in 150 countries, and become the 7th-largest global biosimilars player.
Consideration:	▪ Acquisition of 100% of Organon & Co. for $14.00 per Organon share in an all-cash transaction. — This represents a 102.6% premium to Organon's unaffected share price of $6.91 ▪ Aggregate Consideration — Implied Purchase Equity Value of $ 3.9B and Enterprise Value of $ 11.75B (Our estimation may differ)
Financing:	▪ $ 2.0–2.5bn funded through cash, Remaining $ 10.0–11.0bn funded through committed bank financing — Our financing structure assumptions number may vary from the deal; read (Financing Assumptions)
Synergies:	▪ Acquirer approximates $ 350mm of potential synergies expected to be realized over 2–4 years ▪ Meanwhile, the target estimates $ 700mm of potential synergies

Sun Pharma and Organon – Public Market & Consensus Overview

Sun Pharma – Public Market Overview:

	Current Market Value	
($mm / ₹mm, expect per share data)	**INR**	**USD**
Closing Price:	₹ 1,717	$ 18.54
% 52-Week High:	92.8%	92.8%
Shares Outstanding:	2,399.3	2,399.3
Market Cap:	**₹ 41,19,898**	**$ 44,477**
(-) Cash & Cash-Equivalents:	(97,705)	(1,055)
(-) Financial Investments:	(2,47,225)	(2,669)
(-) Equity Investments:	-	-
(-) Other Non-Core Assets, Net:	(18,326)	(198)
(-) Net Operating Losses:	-	-
(+) Total Debt & Finance Leases:	40,816	441
(+) Preferred Stock:	-	-
(+) Operating Leases:	5,457	59
(+) Noncontrolling Interests:	3,097	33
(+) Unfunded Pensions:	747	8
Implied Enterprise Value:	**₹ 38,06,759**	**$ 41,096**

FYE 03/31	**2026A**	**2027E**	**2028E**
Revenues:	₹ 5,84,620	₹ 6,51,117	₹ 7,29,507
% Growth:	*11.2%*	*11.4%*	*12.0%*
Net Income:	₹ 1,14,794	₹ 1,29,366	₹ 1,53,582
% Margin:	*19.6%*	*19.9%*	*21.1%*
EPS:	₹ 47.80	₹ 54.20	₹ 64.00
% Growth:	*4.8%*	*13.4%*	*18.1%*

FYE 03/31	**2026A**
Debt / 2027E EBITDA	0.2x
Net Debt / 2027E EBITDA	(1.0)x

Organon – Public Market Overview:

	Current Market Value	Offer Price
($mm, expect per share data)	**USD**	**USD**
Closing Price:	$ 6.91	$ 14.00
% 52-Week High:	46.9%	95.1%
Shares Outstanding:	285.2	285.2
Market Cap:	**$ 1,971**	**$ 3,993**
(-) Cash & Cash-Equivalents:	(574)	(574)
(-) Financial Investments:	-	-
(-) Equity Investments:	-	-
(-) Other Non-Core Assets, Net:	-	-
(-) Net Operating Losses:	(229)	(229)
(+) Total Debt & Finance Leases:	8,644	8,644
(+) Preferred Stock:	-	-
(+) Operating Leases:	-	-
(+) Noncontrolling Interests:	-	-
(+) Unfunded Pensions:	59	59
Implied Enterprise Value:	**$ 9,871**	**$ 11,893**

FYE 12/31	**2025A**	**2026E**	**2027E**
Revenues:	$ 6,216	$ 6,169	$ 6,324
% Growth:	*(2.9)%*	*(0.8)%*	*2.5%*
Net Income:	$ 187	$ 601	$ 721
% Margin:	*3.0%*	*9.7%*	*11.4%*
EPS:	$ 0.73	$ 3.49	$ 3.68
% Growth:	*(78.4)%*	*378.9%*	*5.4%*

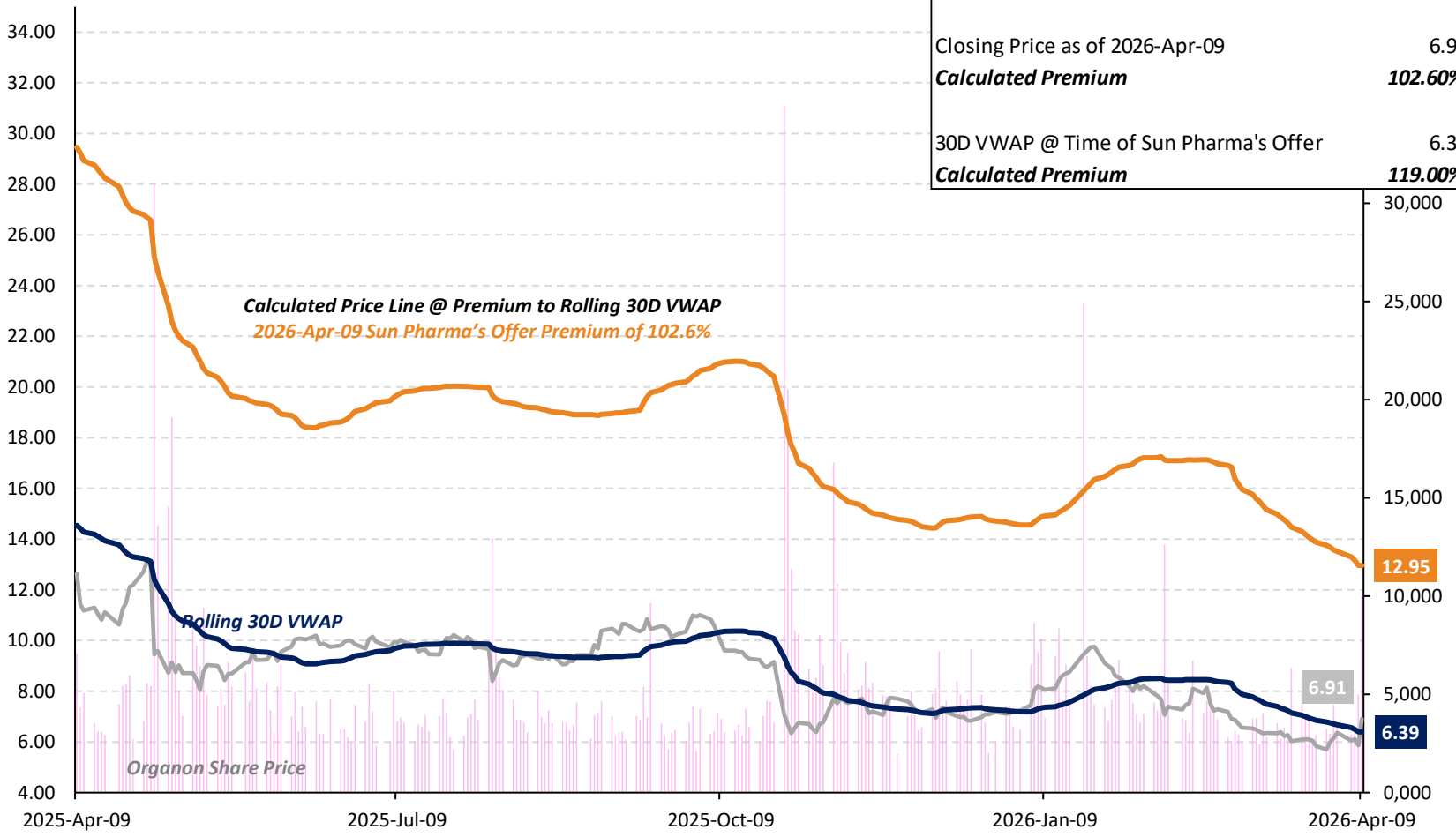
FYE 12/31	**2025A**
Debt / 2027E EBITDA	5.3x
Net Debt / 2027E EBITDA	4.9x
Credit Rating	BB

- *The purchase enterprise value and equity value differs from the announced $11.75bn and $ 3.9bn due to differences in methodology used in estimation basis (For i.e. NOL and pension treatment in our methodology)*
- *Credit Ratings by Standard and Poor Global*
- *Debt as of FY26A (Sun) / FY25A (OGN) divided by FY27E EBITDA*
- *Figures in this slide are Consensus Estimates and differs from our projections except the debt projections sourced from: simplywall.st*

Sun Pharma's Offer vs. 30D VWAP

Organon Rolling 30D VWAP Over Time (09-Apr-2025 to 09-Apr-2026)

$ Per Share	*2026-Apr-09*
Offer Price	$ 14.00
Closing Price as of 2026-Apr-09	6.91
Calculated Premium	***102.60%***
30D VWAP @ Time of Sun Pharma's Offer	6.39
Calculated Premium	***119.00%***

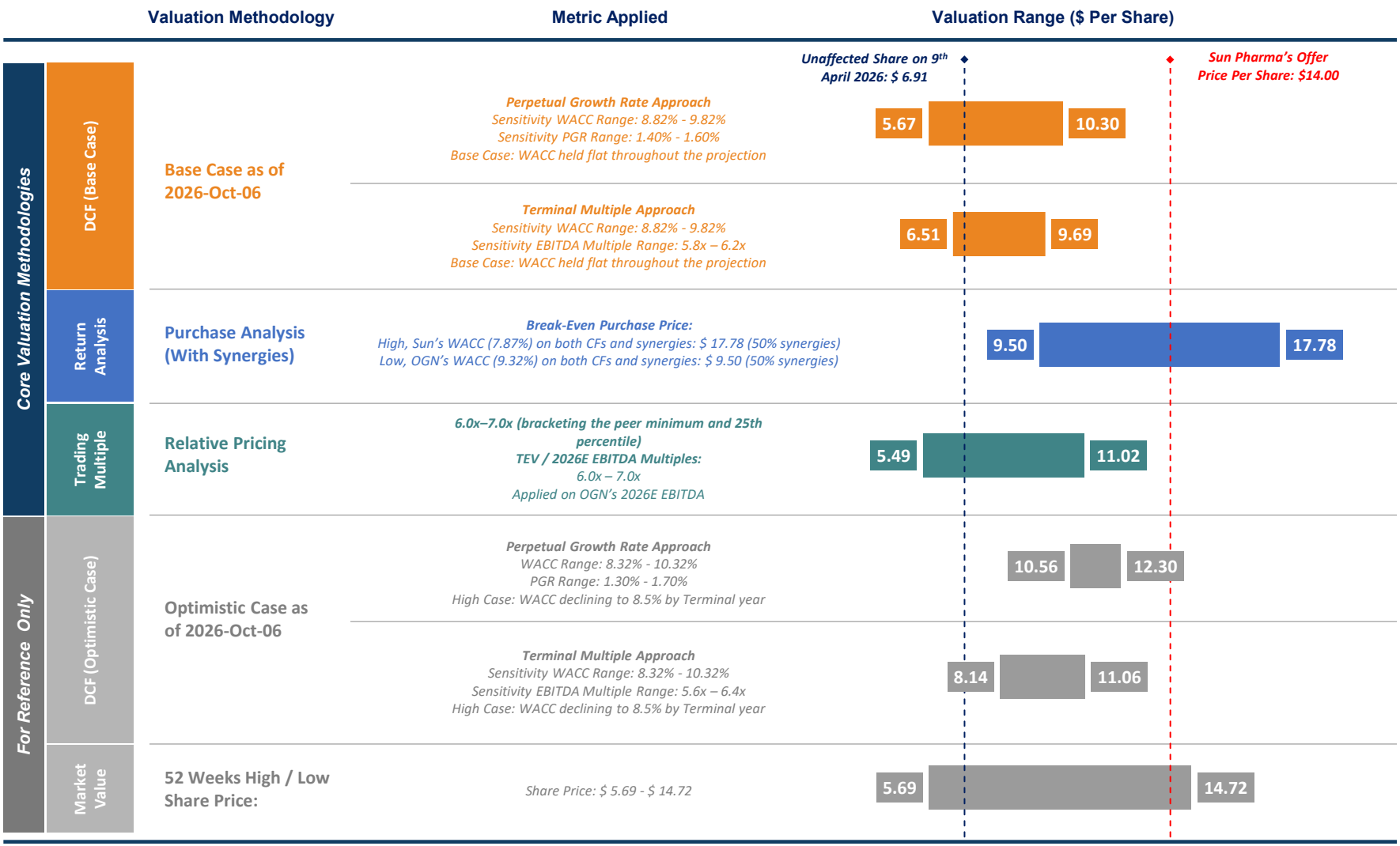


- *The unaffected share price and VWAP is based on the announcement date "10-April-2026", DCF is based on the analysis date "6-October-2026" but the premium is estimated on the unaffected price.*

Valuation of Target

Valuation Summary

(All financials in $mm unless stated otherwise)



Key Assumptions for Discounted Cash Flow

Revenue Growth	▪ (2.9)% in CY25 increasing to 1.8% in CY30, and reaches 2.0% in the last projection year CY35
Operating Margins	▪ 21.4% (CY26) rising to 22.0% by the end of the 10-year projected period
Depreciation & Amortization	▪ 4.6% of revenue (CY26), declining to 4.0% by the final projected year (CY35)
Capital Expenditures & Acquisitions	▪ 5.6% of revenue (CY26), decreasing to 5.0% by the final projected year (CY35)
Synergies / Acquisition Effects	▪ Cost saving synergies and Integration costs @ $ 35mm and $ 140mm in year 1 fully realizing at $ 350mm and $ 0 by Year 4. Synergies not assumed for the DCF as synergies are not 100% attributable to Target, but is used in the Return Analysis.
Cost of Equity and WACC	▪ 10.69% Cost of Equity and WACC of 9.32% at optimal capital structure (16.63% and 7.04% in current capital structure). Ignoring high leverage of the company. WACC declines to 8.50% by the last projection year
Terminal Growth Rate and Multiples	▪ Terminal Growth Rates range from 1.0% to 2.0%, and Terminal EBITDA Multiples range from 5.0x to 7.0x

Revenue Projections

(All financials in $mm unless stated otherwise)

Revenue Guidance & Assumptions:

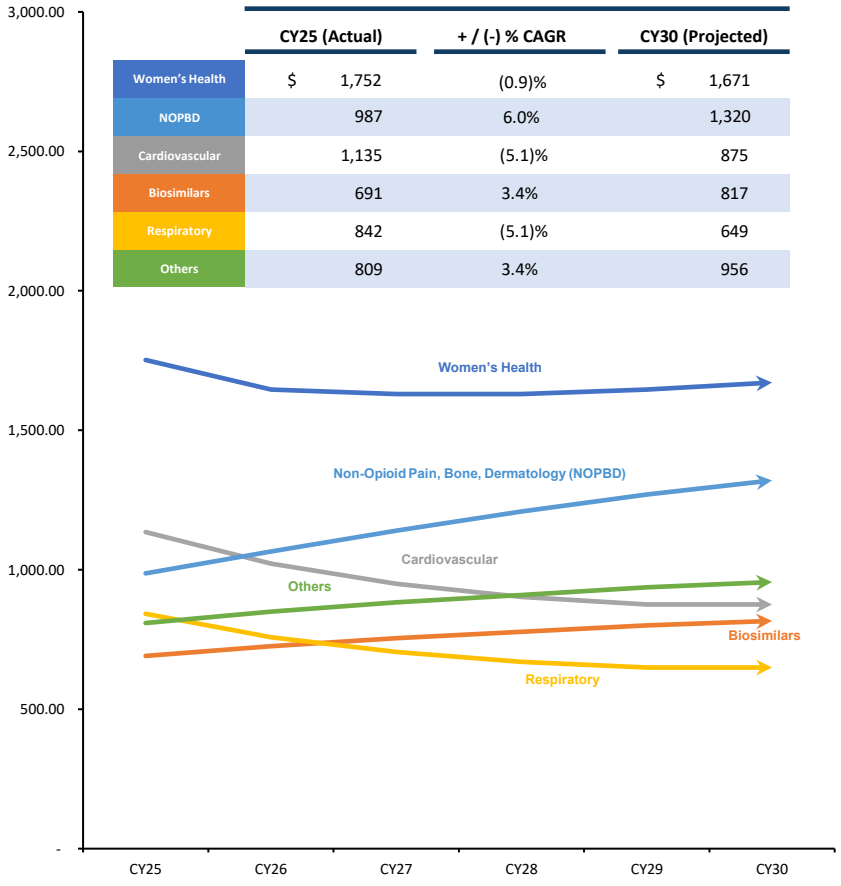
Women's Health:	▪ Expected to remain under pressure from continued erosion in **NuvaRing**. **Nexplanon** provides support following FDA's extension of approved duration to 5 years, but benefits are expected to build gradually.
Non-Opioid Pain, Bone, Dermatology (NOPBD):	▪ One of the primary growth drivers, supported by **Vtama** (grew 9.6x by acquisition of Dermavant) and the broader dermatology portfolio. Forecast growth is below the CY25 reported growth rate to avoid extrapolating the acquisition.
Cardiovascular:	▪ Continued decline due to the ongoing generic/competitive pressure across products such as **Atozet, Cozaar and Hyzaar**. The forecast / Guidance assumes the rate of decline moderates as the business approaches a more stable base.
Biosimilars:	▪ Growth is supported by the expansion of **Hadlima** and the broader biosimilars portfolio. Growth is deliberately tapered from ~5% toward ~2% as newer-product launch matures and the portfolio reaches a more normalized growth trajectory.
Respiratory:	▪ Revenue remains pressured by **Dulera's** Loss of contract and continued erosion in **Singulair** and **Nasonex**, due to competition and portfolio maturity. The forecast / Guidance assumes persistent but progressively slower declines.
Others:	▪ Moderate growth driven by acquisition of **Emgality** (grew 60%), while avoiding extrapolation of unusually high historical growth rates associated with newly acquired commercialization rights.

The consolidated revenue growth assumption declines from **~1.8% in CY30 initially toward ~1.0% in CY35**, reflecting a mature long-term business.

Revenue Projections by Segment:

5Y Revenue CAGR

	CY25 (Actual)	+ / (-) % CAGR	CY30 (Projected)
Women's Health	$ 1,752	(0.9)%	$ 1,671
NOPBD	987	6.0%	1,320
Cardiovascular	1,135	(5.1)%	875
Biosimilars	691	3.4%	817
Respiratory	842	(5.1)%	649
Others	809	3.4%	956

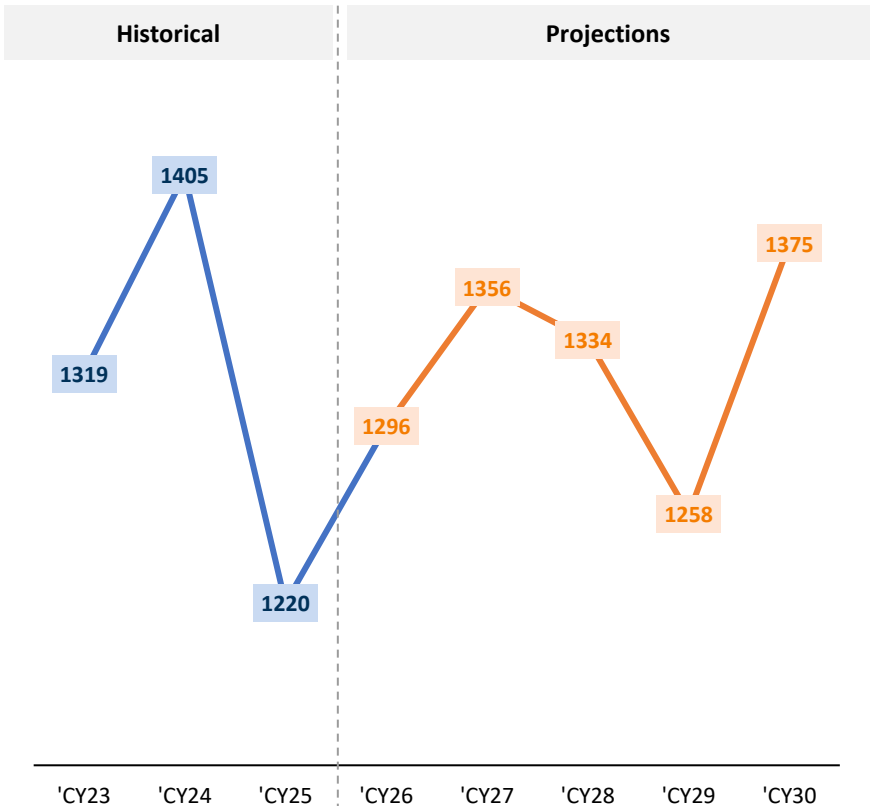


Historical EBIT vs. Projections

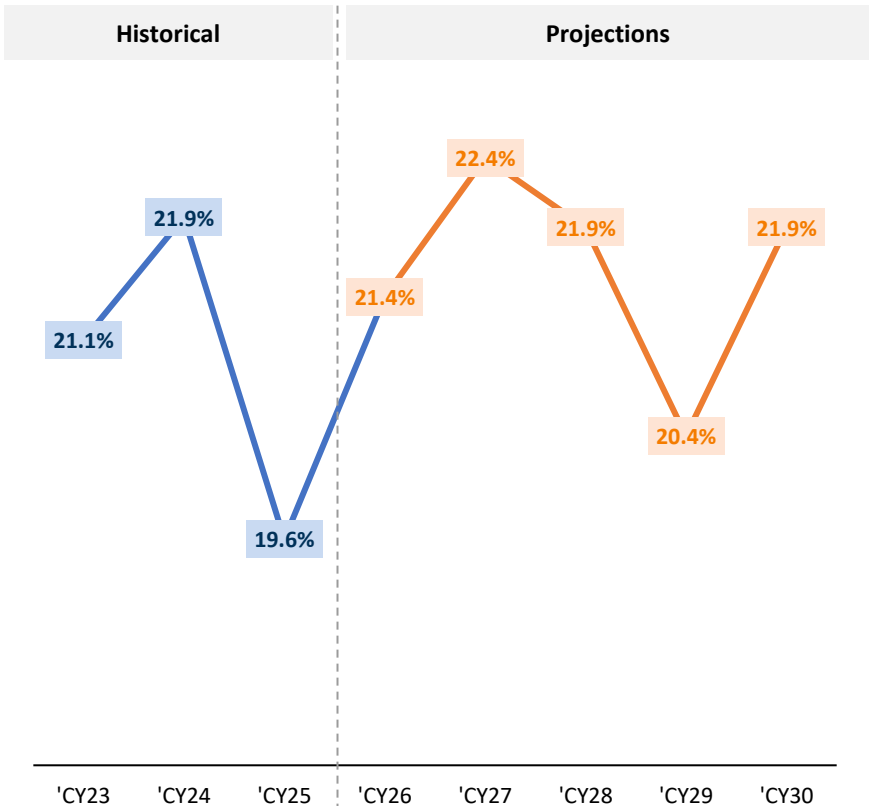
(All financials in $mm unless stated otherwise)

- SG&A is forecasted at **21.0–23.0% of revenue**, in line with historical levels and slightly below the historical average, reflecting normalization of operating costs without assuming significant margin expansion. R&D is maintained at **5.0% of revenue**, consistent with the historical average. Acquired IPR&D and milestone expenses are assumed at **0.5% of revenue**, above the historical run-rate to allow for potential future acquisitions and milestone-related spending. D&A is held at **4.6% of revenue**, reflecting the historical average and the mature nature of the asset base.

EBIT in $mm:



EBIT Margin in %:

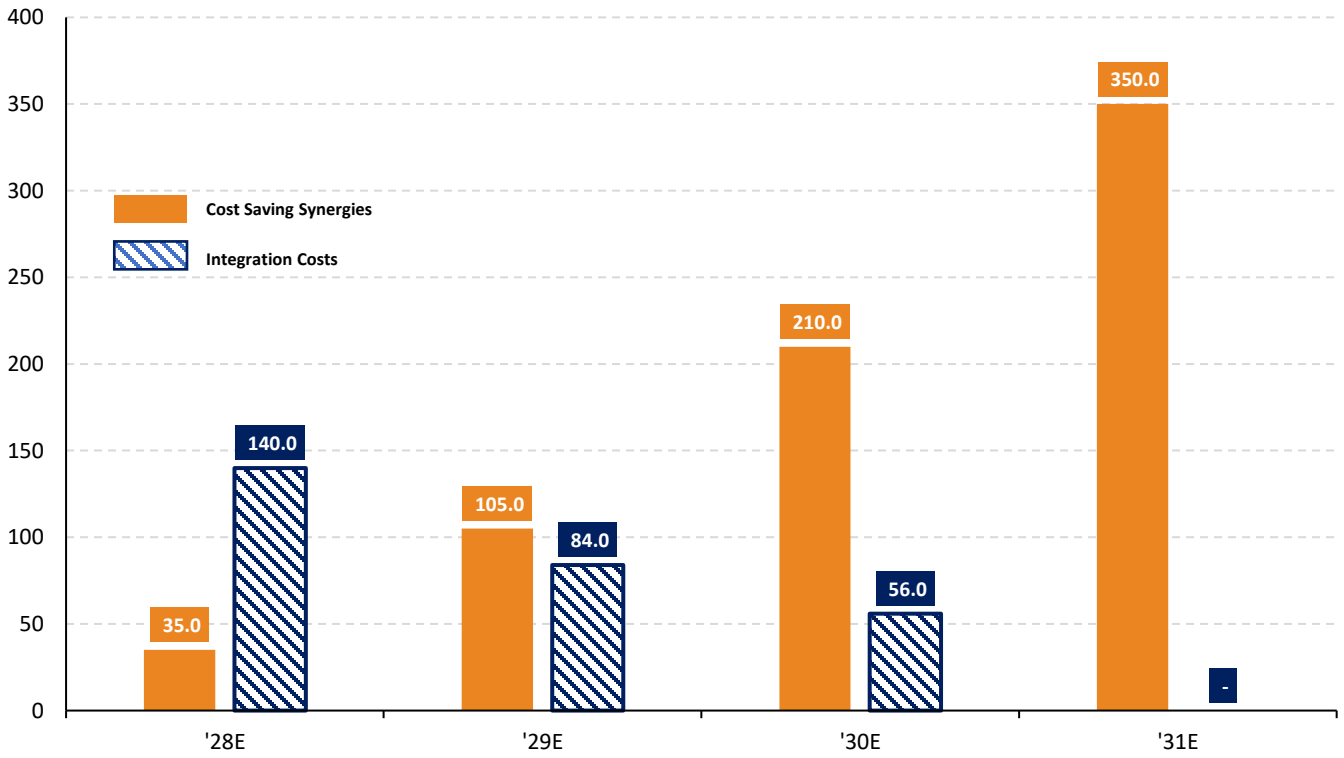


Synergies Analysis

(All financials in $mm unless stated otherwise)

- The transaction assumes $350mm of annual run-rate cost-saving synergies guided by the acquirer, with realization ramping from 10% in Year 1 to 30% in Year 2, 60% in Year 3 and 100% in Year 4. integration costs are assumed at $ 280mm, or 80% of the ultimate synergy run-rate, and are incurred over the first three years at 50%, 30% and 20%, respectively.

Cost Saving Synergies and Integration Costs:



Discounted Cash Flow Analysis

(All financials in $mm unless stated otherwise)

- Free cash flow remains positive throughout the projection period, supported by stable operating performance and disciplined capital deployment. Working capital remains a recurring use of cash, while Capital Expenditure and acquisition spending normalize over time as the portfolio matures. The revenues and after-tax cash proceeds from Jada are excluded from the cash flows and added back in TEV to EV bridge for valuation purposes due to company's divestment in the product. WACC of 9.32% is held flat across the forecast period to derive the present value of projected unlevered free cash flows.

Calculation of Unlevered Free Cash Flow:

		Projected:									
Unlevered Free Cash Flow Projections:	***Units:***	**CY26E**	**CY27E**	**CY28E**	**CY29E**	**CY30E**	**CY31E**	**CY32E**	**CY33E**	**CY34E**	**CY35E**
Total Revenue:	*$ M*	**$ 6,067**	**$ 6,063**	**$ 6,098**	**$ 6,178**	**$ 6,289**	**$ 6,414**	**$ 6,543**	**$ 6,673**	**$ 6,807**	**$ 6,943**
Growth Rate:	*%*	*(2.4%)*	*(0.1%)*	*0.6%*	*1.3%*	*1.8%*	*2.0%*	*2.0%*	*2.0%*	*2.0%*	*2.0%*
Earnings Before Interest & Taxes (EBIT):	*$ M*	1,296	1,356	1,334	1,258	1,375	1,411	1,439	1,468	1,498	1,527
EBIT Margin:	*%*	*21.4%*	*22.4%*	*21.9%*	*20.4%*	*21.9%*	*22.0%*	*22.0%*	*22.0%*	*22.0%*	*22.0%*
(-) Taxes, Excluding Effect of Interest:	*$ M*	(421)	(441)	(433)	(409)	(447)	(459)	(468)	(477)	(487)	(496)
Net Operating Profit After Tax (NOPAT):	*$ M*	**875**	**916**	**900**	**849**	**928**	**953**	**972**	**991**	**1,011**	**1,031**
Adjustments for Non-Cash Charges:											
(+) Depreciation & Amortization:	*$ M*	281	281	283	286	291	297	288	280	286	278
% Revenue:	*%*	*4.6%*	*4.6%*	*4.6%*	*4.6%*	*4.6%*	*4.6%*	*4.4%*	*4.2%*	*4.2%*	*4.0%*
(+) Goodwill Impairment:	$ M	-	-	-	-	-	-	-	-	-	-
(+/-) Deferred Income Tax:	$ M	-	-	-	-	-	-	-	-	-	-
(+) Stock-based Compensation:	*$ M*	73	67	61	62	63	64	65	67	68	69
% Revenue:	*%*	*1.2%*	*1.1%*	*1.0%*	*1.0%*	*1.0%*	*1.0%*	*1.0%*	*1.0%*	*1.0%*	*1.0%*
(+/-) Net Change in Working Capital:	*$ M*	(139)	(186)	(215)	(222)	(179)	(213)	(218)	(214)	(211)	(208)
% Revenue:		*2.3%*	*3.1%*	*3.5%*	*3.6%*	*2.9%*	*3.3%*	*3.3%*	*3.2%*	*3.1%*	*3.0%*
(-) Capital Expenditures & Acquisitions:	*$ M*	(338)	(338)	(340)	(344)	(350)	(359)	(353)	(347)	(354)	(347)
% Revenue:	*%*	*5.6%*	*5.6%*	*5.6%*	*5.6%*	*5.6%*	*5.6%*	*5.4%*	*5.2%*	*5.2%*	*5.0%*
Annual Unlevered Free Cash Flow:	*$ M*	**752**	**739**	**689**	**631**	**753**	**741**	**754**	**777**	**800**	**823**
Growth Rate:	*%*	*(26.1%)*	*(1.7%)*	*(6.9%)*	*(8.4%)*	*19.4%*	*(1.5%)*	*1.7%*	*3.1%*	*2.9%*	*2.9%*
Discount Rate	*%*	*9.3%*	*9.3%*	*9.3%*	*9.3%*	*9.3%*	*9.3%*	*9.3%*	*9.3%*	*9.3%*	*9.3%*
Discount Factor	#	0.24	1.24	2.24	3.24	4.24	5.24	6.24	7.24	8.24	9.24
PV of Unlevered FCF:	*$ M*	**$ 737**	**$ 662**	**$ 564**	**$ 473**	**$ 516**	**$ 465**	**$ 432**	**$ 408**	**$ 384**	**$ 361**
EBITDA:	*$ M*	**1,578**	**1,637**	**1,616**	**1,545**	**1,667**	**1,708**	**1,727**	**1,748**	**1,783**	**1,805**
Growth Rate:	*%*	*(0.2%)*	*3.8%*	*(1.3%)*	*(4.4%)*	*7.9%*	*2.5%*	*1.1%*	*1.2%*	*2.0%*	*1.2%*

Discounted Cash Flow Analysis (Cont'd)

(All financials in $mm unless stated otherwise)

- Both terminal value methodologies produce broadly consistent enterprise values. However, Organon's significant debt burden results in a substantial reduction from enterprise value to equity value, yielding implied share prices of $ 7.81 under the perpetuity growth method and $ 8.05 under the exit multiple method. Terminal value represents ~48% of implied TEV, limiting the valuation's dependence on terminal assumptions.

Terminal Enterprise Value to Equity Value Bridge:

Terminal Value - Perpetuity Growth Method:	
Baseline Terminal FCF Growth Rate:	1.50%
Baseline Terminal Value:	$ 10,674.5
Implied Terminal EBITDA Multiple:	5.9 x
(+) PV of Terminal Value:	4,686.1
(+) Sum of PV of Free Cash Flows:	5,002.3
Implied Enterprise Value:	**9,688.4**
% of Implied TEV from Terminal Value:	*48.4%*
(+) Cash & Cash-Equivalents:	574.0
(+) Deivestment of Jada:	440.0
(+) Financial Investments:	-
(+) Equity Investments:	-
(+) Other Non-Core Assets, Net:	-
(+) Net Operating Losses:	229.0
(-) Total Debt & Finance Leases:	(8,644.0)
(-) Preferred Stock:	-
(-) Operating Leases:	-
(-) Noncontrolling Interests:	-
(-) Unfunded Pensions:	(59.0)
Implied Equity Value:	**2,228.4**
Diluted Shares Outstanding:	285.200
Implied Share Price from DCF:	**$ 7.81**
Premium / (Discount) to Current:	**13.1%**

Terminal Value - Multiples Method:	
Baseline Terminal EBITDA Multiple:	6.0 x
Baseline Terminal Value:	$ 10,831.2
Implied Terminal FCF Growth Rate:	1.61%
(+) PV of Terminal Value:	4,754.9
(+) Sum of PV of Free Cash Flows:	5,002.3
Implied Enterprise Value:	**9,757.2**
% of Implied TEV from Terminal Value:	*48.7%*
(+) Cash & Cash-Equivalents:	574.0
(+) Deivestment of Jada:	440.0
(+) Financial Investments:	-
(+) Equity Investments:	-
(+) Other Non-Core Assets, Net:	-
(+) Net Operating Losses:	229.0
(-) Total Debt & Finance Leases:	(8,644.0)
(-) Preferred Stock:	-
(-) Operating Leases:	-
(-) Noncontrolling Interests:	-
(-) Unfunded Pensions:	(59.0)
Implied Equity Value:	**2,297.2**
Diluted Shares Outstanding:	285.200
Implied Share Price from DCF:	**$ 8.05**
Premium / (Discount) to Current:	**16.6%**

perpetuity growth method produces an implied share prices of $ 11.41 and exit multiple produces $ 9.60 when WACC declines to 8.5% towards the Terminal Year (DCF High Case).

Discounted Cash Flows Analysis Output

(All financials in $mm unless stated otherwise)

- Our DCF indicates that Organon's **unaffected share price of $ 6.91** was almost fairly valued or slightly undervalued by ~15%, with **implied values of $ 7.81 using a 1.50% perpetual growth rate** and **$ 8.05 using a 6.0x terminal EBITDA multiple**. While both approaches imply ~15% upside to the unaffected share price, the $ 14.00 offer represents a significant premium (~72-79%) to our DCF-derived values, suggesting that the merger will have to look at the significant operating and strategic synergy realization to get the maximum full value.

Sensitivity - Terminal FCF Growth Rate vs. Discount Rate and Implied Share Price from DCF Analysis:

Implied Share Price Range
$ 5.67 – $ 10.30

	Terminal FCF Growth Rate:										
Discount Rate (WACC):	1.00%	1.10%	1.20%	1.30%	1.40%	1.50%	1.60%	1.70%	1.80%	1.90%	2.00%
11.32%	$ 0.63	$ 0.74	$ 0.85	$ 0.97	$ 1.09	**$ 1.21**	$ 1.34	$ 1.47	$ 1.60	$ 1.73	$ 1.87
10.82%	1.92	2.05	2.18	2.32	2.46	**2.60**	2.74	2.89	3.04	3.19	3.35
10.32%	3.36	3.51	3.66	3.82	3.97	**4.14**	4.30	4.48	4.65	4.83	5.01
9.82%	4.96	5.13	5.31	5.49	5.67	**5.86**	6.06	6.26	6.46	6.67	6.89
9.32%	**6.75**	**6.95**	**7.16**	**7.37**	**7.59**	**7.81**	**8.04**	**8.28**	**8.52**	**8.77**	**9.02**
8.82%	8.77	9.01	9.26	9.51	9.76	**10.03**	10.30	10.58	10.87	11.16	11.47
8.32%	11.08	11.36	11.65	11.95	12.26	**12.57**	12.90	13.23	13.58	13.93	14.30
7.82%	13.72	14.06	14.41	14.76	15.13	**15.52**	15.91	16.32	16.74	17.17	17.62
7.32%	16.78	17.19	17.61	18.05	18.50	**18.97**	19.45	19.95	20.47	21.01	21.57

Sensitivity - Terminal EBITDA Multiple vs. Discount Rate and Implied Share Price from DCF Analysis:

Implied Share Price Range
$ 6.51 – $ 9.69

	Terminal EBITDA Multiple:										
Discount Rate (WACC):	5.0x	5.2x	5.4x	5.6x	5.8x	6.0x	6.2x	6.4x	6.6x	6.8x	7.0x
11.32%	$ 1.90	$ 2.37	$ 2.84	$ 3.31	$ 3.78	**$ 4.25**	$ 4.72	$ 5.19	$ 5.66	$ 6.13	$ 6.60
10.82%	2.69	3.18	3.67	4.16	4.65	**5.14**	5.63	6.12	6.61	7.10	7.59
10.32%	3.52	4.03	4.54	5.05	5.56	**6.07**	6.58	7.09	7.60	8.12	8.63
9.82%	4.38	4.91	5.44	5.98	6.51	**7.04**	7.58	8.11	8.64	9.17	9.71
9.32%	**5.28**	**5.83**	**6.39**	**6.94**	**7.50**	**8.05**	**8.61**	**9.17**	**9.72**	**10.28**	**10.83**
8.82%	6.21	6.79	7.37	7.95	8.53	**9.11**	9.69	10.27	10.85	11.43	12.01
8.32%	7.19	7.79	8.40	9.00	9.61	**10.21**	10.82	11.42	12.03	12.63	13.24
7.82%	8.21	8.84	9.47	10.10	10.73	**11.36**	11.99	12.63	13.26	13.89	14.52
7.32%	9.27	9.93	10.59	11.25	11.90	**12.56**	13.22	13.88	14.54	15.20	15.86

Return Analysis with Synergies

(All financials in $mm unless stated otherwise)

- The analysis incorporates **$350mm of long-term annual cost-saving synergies, phased at 10%, 30%, 60% and 100% over the first four years**. **Total integration costs are assumed at $280mm, or 80% of the long-term synergy run-rate, and phased at 50%, 30%, 20% and 0% over the first four years**. After-tax synergies are combined with the Target's projected unlevered free cash flow to assess the transaction's implied return. The long term growth rate of 0.00% is assumed for the synergies and 1.50% is assumed for the unlevered free cash flow.

Calculation of Unlevered Free Cash Flow and Deal IRR

IRR vs. Discount Rate:	*Units:*	CY26E	CY27E	CY28E	CY29E	CY30E	CY31E	CY32E	CY33E	CY34E	CY35E
Expected Cost Savings Per Year:	*$ M*	$ 350.0									
Total Merger & Integration Costs:	*$ M*	280.0									
Total Cost Savings:	*$ M*		35.0	105.0	210.0	350.0	350.0	350.0	350.0	350.0	350.0
Merger Integration Costs:	*$ M*		(140.0)	(84.0)	(56.0)	-	-	-	-	-	-
Net Synergies:	*$ M*		**(105.0)**	**21.0**	**154.0**	**350.0**	**350.0**	**350.0**	**350.0**	**350.0**	**350.0**
After-Tax Cash Flow from Synergies:			**$ (79)**	**$ 16**	**$ 115**	**$ 262**	**$ 262**	**$ 262**	**$ 262**	**$ 262**	**$ 262**
Purchase Enterprise Value:	*$ M*	$ 11,452.8									
Acquirer's WACC:	%	7.9%									
Long-Term Growth Rate of Synergies:	%	0.0%									
Unlevered Free Cash Flow of Target:	*$ M*		739	689	631	753	741	754	777	800	823
After-Tax Cash Flow from Synergies:	*$ M*		(79)	16	115	262	262	262	262	262	262
Terminal Value of Target UFCF:	*$ M*										13,106
Terminal Value of Synergies:	*$ M*										3,327
Total Unlevered FCF from Deal:	*$ M*	**(11,453)**	**661**	**704**	**746**	**1,015**	**1,003**	**1,016**	**1,039**	**1,062**	**17,518**
Internal Rate of Return (IRR):	%										**10.8%**

Return Analysis Output

(All financials in $mm unless stated otherwise)

- Three cases, High: all cash flows at Sun's 7.87% WACC. Base: Organon's cash flows at its 9.32% WACC, synergies at Sun's 7.87%, discussed on the next slide. Low: all at OGN's 9.32%. At the $ 14.00 offer (EV $ 11,453mm, net of $ 440mm after-tax Jada proceeds) and 100% synergy realization, IRR is **10.83%** in High (296bps over hurdle), and **9.14%** in Low (~18bps below 9.32%). NPV is **+$ 2,307mm / ($ 120mm)**, negative only in low case.
- **Target price at 50% synergy realization.** High **~$ 17.78** (+27% vs offer), and Low **~$9.50** (~32% below offer). **At 100% synergies** the break-even prices are **$22.43 / $13.46**, At half the synergies the $14.00 offer is only supported if Sun's WACC is the right discount rate.
- **Synergy delivery needed to justify $14.00: ~8%** in High, and **~106%** in Low. IRR equals the discount rate at a WACC of 9.24%, ~8bps below Organon's 9.32%.

Sensitivity - Internal Rate of Return (IRR) on Acquisition vs. Purchase Enterprise Value and Synergy Realization Factor:

	Implied Share Price & Purchase Enterprise Value:										
	$ 5.2	$ 7.0	$ 8.7	$ 10.5	$ 12.2	**$ 14.0**	$ 15.8	$ 17.5	$ 19.3	$ 21.0	$ 22.8
	8,952.8	9,452.8	9,952.8	10,452.8	10,952.8	11,452.8	11,952.8	12,452.8	12,952.8	13,452.8	13,952.8
180.00%	17.1%	16.1%	15.3%	14.5%	13.7%	**13.0%**	12.3%	11.7%	11.1%	10.5%	10.0%
160.00%	16.5%	15.6%	14.8%	14.0%	13.2%	**12.5%**	11.8%	11.2%	10.6%	10.0%	9.5%
140.00%	16.0%	15.0%	14.2%	13.4%	12.7%	**12.0%**	11.3%	10.7%	10.1%	9.5%	9.0%
120.00%	15.4%	14.5%	13.6%	12.8%	12.1%	**11.4%**	10.7%	10.1%	9.5%	9.0%	8.4%
100.00%	**14.8%**	**13.9%**	**13.0%**	**12.3%**	**11.5%**	**10.8%**	**10.2%**	**9.6%**	**9.0%**	**8.4%**	**7.9%**
80.00%	14.2%	13.3%	12.4%	11.7%	10.9%	**10.2%**	9.6%	9.0%	8.4%	7.8%	7.3%
60.00%	13.5%	12.6%	11.8%	11.0%	10.3%	**9.6%**	9.0%	8.4%	7.8%	7.2%	6.7%
40.00%	12.8%	12.0%	11.1%	10.4%	9.7%	**9.0%**	8.3%	7.7%	7.1%	6.6%	6.1%
20.00%	12.1%	11.3%	10.5%	9.7%	9.0%	**8.3%**	7.7%	7.1%	6.5%	5.9%	5.4%
0.00%	11.4%	10.6%	9.8%	9.0%	8.3%	**7.6%**	7.0%	6.4%	5.8%	5.3%	4.8%

Synergy Realization Factor:

Sensitivity - Internal Rate of Return (IRR) on Acquisition vs. Purchase Enterprise Value and Acquirer's WACC:

	Purchase Enterprise Value:									
Share Price:	**$ 11.4**	**$ 11.9**	**$ 12.4**	**$ 12.9**	**$ 13.5**	**$ 14.0**	**$ 14.5**	**$ 15.1**	**$ 15.6**	**$ 16.1**	**$ 16.6**
	10,702.8	10,852.8	11,002.8	11,152.8	11,302.8	11,452.8	11,602.8	11,752.8	11,902.8	12,052.8	12,202.8
5.87%	15.2%	15.0%	14.8%	14.6%	14.4%	**14.2%**	14.0%	13.8%	13.6%	13.4%	13.2%
6.37%	14.2%	14.0%	13.8%	13.6%	13.4%	**13.2%**	13.0%	12.8%	12.6%	12.4%	12.2%
6.87%	13.4%	13.1%	12.9%	12.7%	12.5%	**12.3%**	12.1%	11.9%	11.7%	11.5%	11.3%
7.37%	12.6%	12.4%	12.2%	11.9%	11.7%	**11.53%**	11.3%	11.1%	10.9%	10.7%	10.6%
7.87%	**11.9%**	**11.7%**	**11.5%**	**11.2%**	**11.0%**	**10.83%**	**10.6%**	**10.4%**	**10.2%**	**10.0%**	**9.9%**
8.37%	11.3%	11.0%	10.8%	10.6%	10.4%	**10.2%**	10.0%	9.8%	9.6%	9.4%	9.2%
8.87%	10.7%	10.5%	10.2%	10.0%	9.8%	**9.6%**	9.4%	9.2%	9.0%	8.8%	8.7%
9.37%	10.2%	9.9%	9.7%	9.5%	9.3%	**9.1%**	8.9%	8.7%	8.5%	8.3%	8.1%
9.87%	9.7%	9.4%	9.2%	9.0%	8.8%	**8.6%**	8.4%	8.2%	8.0%	7.8%	7.6%

Acquirer's WACC:

- *At 50% realization, integration costs are halved as well.*

Return Analysis with Synergies (Base Case)

(All financials in $mm unless stated otherwise)

- The Base case discounts **Organon's standalone unlevered free cash flows at its own 9.32%** WACC and the **after-tax synergies at Sun's 7.87%**, from the DCF valuation date through the terminal year (discount periods 1.24 to 9.24), and compares the sum of present values to the $11,453mm purchase EV (net of Jada proceeds). $350mm of run-rate cost synergies are phased 10/30/60/100% over four years; $280mm of integration costs are phased 50/30/20/0%. The long term growth rate of 0.00% is assumed for the synergies and 1.50% is assumed for the UFCF.

Calculation of Unlevered Free Cash Flow and NPV

NPV vs. Purchase Enterprise Value (Base Case):	*Units:*	CY27	CY28	CY29	CY30	CY31	CY32	CY33	CY34	CY35	TV
Purchase Enterprise Value:	*$ M*	$ 11,452.8									
Acquirer WACC:	*%*	7.87%									
Target WACC:	*%*	9.32%									
Synergy Realization Factor:	%	100.00%									
Unlevered Free Cash Flow of Target:	*$ M*	$ 739.4	$ 688.7	$ 630.9	$ 752.9	$ 741.3	$ 753.9	$ 777.5	$ 799.8	$ 822.8	$ 10,674.5
PV of UFCF of Target (Dicounted @ Target WACC):	*$ M*	662.3	564.3	472.8	516.2	464.9	432.4	407.9	383.9	361.2	4,686.1
After-Tax Cash Flow from Synergies:	*$ M*	(78.6)	15.7	115.2	261.9	261.9	261.9	261.9	261.9	261.9	3,327.1
PV of Synergies (Dicounted @ Acquirers WACC):	*$ M*	(71.5)	13.3	90.2	190.0	176.1	163.3	151.4	140.3	130.1	1,652.5
PV of UFCF from Deal	*$ M*	**$ 590.7**	**$ 577.5**	**$ 563.0**	**$ 706.2**	**$ 641.0**	**$ 595.7**	**$ 559.3**	**$ 524.2**	**$ 491.3**	**$ 6,338.6**

Net Present Value - 100% Synergies @ $ 14.00 USD Offer	
Purchase Enterprise Value:	$ 11,452.8
Sum of all PVs:	11,587.4
Net Present Value:	**$ 134.6**

Return Analysis Output (Base Case)

(All financials in $mm unless stated otherwise)

- Organon's standalone cash flows at its 9.32% WACC are worth **$ 8,952mm** from first combined year (CY27). At the $ 14.00 offer (EV $ 11,453mm) and 100% synergy realization, adding synergies discounted at Sun's 7.87% (PV $ 2,636mm) gives a sum of present values of $11,587mm, an **NPV of +$135mm**. The $ 2,501mm premium over standalone value is funded entirely by synergies.
- **Break-even synergy delivery is ~95%** (~$ 332mm of the $ 350mm run-rate): Sun is paying away ~95% of the synergy value to Organon's shareholders and keeping ~5%. Every 20% shortfall in delivery costs ~$ 527mm of NPV, and NPV turns negative below ~95%.
- **Break-even offer price:** $ 14.47 at 100% synergies, **$ 9.85 at 50%** (~30% below the offer), **$ 10.78 at 60%**, and **$ 12.62 at 80%**. $14.00 leaves only ~$ 0.47 of headroom at full delivery, so it supports no higher price.

Sensitivity - Net Present Value on Acquisition vs. Purchase Enterprise Value and Synergy Realization Factor:

		Implied Share Price & Purchase Enterprise Value:										
		$ 5.2	$ 7.0	$ 8.7	$ 10.5	$ 12.2	**$ 14.0**	$ 15.8	$ 17.5	$ 19.3	$ 21.0	$ 22.8
		8,952.8	9,452.8	9,952.8	10,452.8	10,952.8	11,452.8	11,952.8	12,452.8	12,952.8	13,452.8	13,952.8
Synergy Realization Factor:	180.00%	4,743	4,243	3,743	3,243	2,743	**2,243**	1,743	1,243	743	243	(257)
	160.00%	4,216	3,716	3,216	2,716	2,216	**1,716**	1,216	716	216	(284)	(784)
	140.00%	3,689	3,189	2,689	2,189	1,689	**1,189**	689	189	(311)	(811)	(1,311)
	120.00%	3,162	2,662	2,162	1,662	1,162	**662**	162	(338)	(838)	(1,338)	(1,838)
	100.00%	**2,635**	**2,135**	**1,635**	**1,135**	**635**	**135**	**(365)**	**(865)**	**(1,365)**	**(1,865)**	**(2,365)**
	80.00%	2,107	1,607	1,107	607	107	**(393)**	(893)	(1,393)	(1,893)	(2,393)	(2,893)
	60.00%	1,580	1,080	580	80	(420)	**(920)**	(1,420)	(1,920)	(2,420)	(2,920)	(3,420)
	40.00%	1,053	553	53	(447)	(947)	**(1,447)**	(1,947)	(2,447)	(2,947)	(3,447)	(3,947)
	20.00%	526	26	(474)	(974)	(1,474)	**(1,974)**	(2,474)	(2,974)	(3,474)	(3,974)	(4,474)
	0.00%	(1)	(501)	(1,001)	(1,501)	(2,001)	**(2,501)**	(3,001)	(3,501)	(4,001)	(4,501)	(5,001)

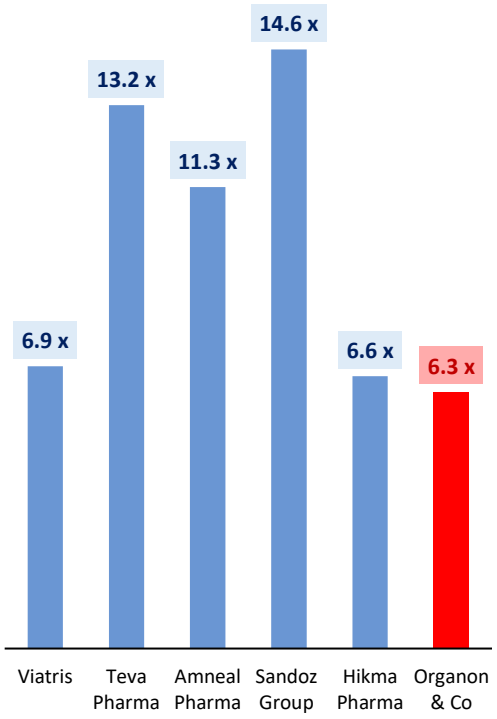
- *At 50% realization, integration costs are halved as well.*
- *standalone PV is $8,952mm, but the DCF EV on p.14 is $9,688mm. The gap is the CY26 stub, about $737mm,*

Public Trading Comps Analysis

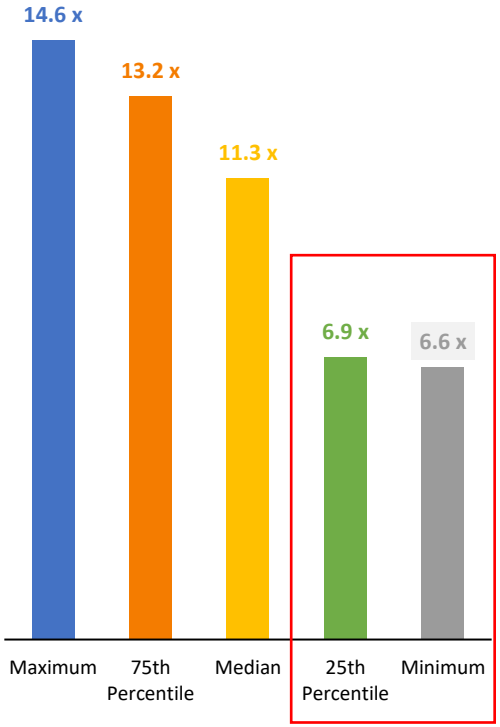
(All financials in $mm unless stated otherwise)

- We apply a TEV / 2026E EBITDA range of 6.0x – 7.0x to Organon (midpoint 6.5x), spanning its current 6.3x and bracketing the peer minimum (6.6x, Hikma) and 25th percentile (6.9x, Viatris), well below the 11.3x peer median. Organon's near-term revenue growth is negative and way below the peers median of 4.1%, and its projected EBITDA growth of 3.8% is below the peers median of 11.2%, which supports pricing at the low end of the peer set. Meanwhile its ~26% EBITDA margin remains broadly in line with the peer group.

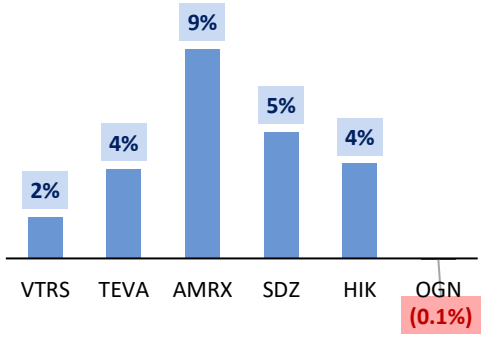
TEV / EBITDA (CY2026E):



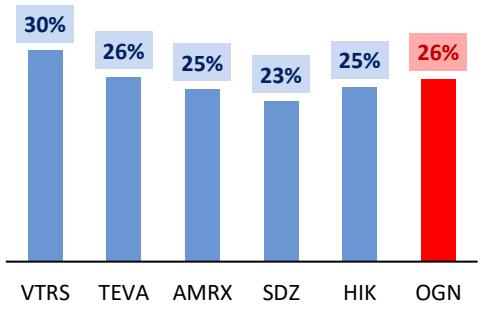
Relative Pricing:



Projected Revenue % Growth (CY2027E):



Projected EBITDA Margin (CY2026E):



Public Trading Comps Analysis (Cont'd)

(All financials in $mm unless stated otherwise)

We select 6.0x – 7.0x TEV / 2026E EBITDA for OGN, as it falls way behind the peer universe on growth but has similar margins.

Company Name	Capitalization: Equity Value	Capitalization: Enterprise Value	EBITDA: LTM	EBITDA: 26E	EBITDA: 27E	Enterprise Value / EBITDA: LTM	Enterprise Value / EBITDA: 26E	Enterprise Value / EBITDA: 27E	Projected Revenue Growth	Projected EBITDA Growth	EBITDA Margin: LTM	EBITDA Margin: 26E	EBITDA Margin: 27E
Organon & Co	1,970.7	9,870.7	1,564.0	1,577.5	1,637.3	6.3 x	6.3 x	6.0 x	(0.1%)	3.8%	25.5%	26.0%	27.0%
Peer Universe													
Viatris Inc.	$ 19,549.0	$ 30,555.3	$ 4,292.5	$ 4,440.0	$ 4,588.0	7.1 x	6.9 x	6.7 x	1.8%	3.3%	29.2%	30.0%	30.5%
Teva Pharmaceutical Industries Limited	44,899.0	58,045.0	4,268.0	4,381.0	5,570.0	13.6 x	13.2 x	10.4 x	3.9%	27.1%	24.6%	26.2%	32.1%
Amneal Pharmaceuticals, Inc.	6,297.3	8,716.1	689.4	774.4	862.9	12.6 x	11.3 x	10.1 x	9.0%	11.4%	22.1%	24.6%	25.1%
Sandoz Group AG	35,538.9	40,373.9	1,650.0	2,763.0	3,072.0	24.5 x	14.6 x	13.1 x	5.5%	11.2%	14.8%	22.8%	24.1%
Hikma Pharmaceuticals PLC	4,499.1	5,715.1	864.0	860.8	911.1	6.6 x	6.6 x	6.3 x	4.1%	5.8%	25.3%	24.9%	25.3%
Selected Range (Minimum):						**6.6 x**	**6.6 x**	**6.3 x**	**1.8%**	**3.3%**	**14.8%**	**22.8%**	**24.1%**
Maximum	$ 44,899.0	$ 58,045.0	$ 4,292.5	$ 4,440.0	$ 5,570.0	24.5 x	14.6 x	13.1 x	9.0%	27.1%	29.2%	30.0%	32.1%
75th Percentile	35,538.9	40,373.9	4,268.0	4,381.0	4,588.0	13.6 x	13.2 x	10.4 x	5.5%	11.4%	25.3%	26.2%	30.5%
Median	**19,549.0**	**30,555.3**	**1,650.0**	**2,763.0**	**3,072.0**	**12.6 x**	**11.3 x**	**10.1 x**	**4.1%**	**11.2%**	**24.6%**	**24.9%**	**25.3%**
25th Percentile	6,297.3	8,716.1	864.0	860.8	911.1	7.1 x	6.9 x	6.7 x	3.9%	5.8%	22.1%	24.6%	25.1%
Minimum	4,499.1	5,715.1	689.4	774.4	862.9	6.6 x	6.6 x	6.3 x	1.8%	3.3%	14.8%	22.8%	24.1%

Trading Comps Range:

Multiple @ 6.0x on 2026E EBITDA:	
Implied Enterprise Value:	**9,465.3**
(+) Cash & Cash-Equivalents:	574.0
(+) Financial Investments:	-
(+) Equity Investments:	-
(+) Other Non-Core Assets, Net:	-
(+) Net Operating Losses:	229.0
(-) Total Debt & Finance Leases:	(8,644.0)
(-) Preferred Stock:	-
(-) Operating Leases:	-
(-) Noncontrolling Interests:	-
(-) Unfunded Pensions:	(59.0)
Implied Equity Value:	**1,565.3**
Diluted Shares Outstanding:	285.200
Implied Share Price from Comps:	**$ 5.49**
Premium / (Discount) to Current:	**(20.6%)**

Multiple @ 6.5x on 2026E EBITDA:	
Implied Enterprise Value:	**10,254.1**
(+) Cash & Cash-Equivalents:	574.0
(+) Financial Investments:	-
(+) Equity Investments:	-
(+) Other Non-Core Assets, Net:	-
(+) Net Operating Losses:	229.0
(-) Total Debt & Finance Leases:	(8,644.0)
(-) Preferred Stock:	-
(-) Operating Leases:	-
(-) Noncontrolling Interests:	-
(-) Unfunded Pensions:	(59.0)
Implied Equity Value:	**2,354.1**
Diluted Shares Outstanding:	285.200
Implied Share Price from Comps:	**$ 8.25**
Premium / (Discount) to Current:	**19.5%**

Multiple @ 7.0x on 2026E EBITDA:	
Implied Enterprise Value:	**11,042.8**
(+) Cash & Cash-Equivalents:	574.0
(+) Financial Investments:	-
(+) Equity Investments:	-
(+) Other Non-Core Assets, Net:	-
(+) Net Operating Losses:	229.0
(-) Total Debt & Finance Leases:	(8,644.0)
(-) Preferred Stock:	-
(-) Operating Leases:	-
(-) Noncontrolling Interests:	-
(-) Unfunded Pensions:	(59.0)
Implied Equity Value:	**3,142.8**
Diluted Shares Outstanding:	285.200
Implied Share Price from Comps:	**$ 11.02**
Premium / (Discount) to Current:	**59.5%**

Merger Analysis

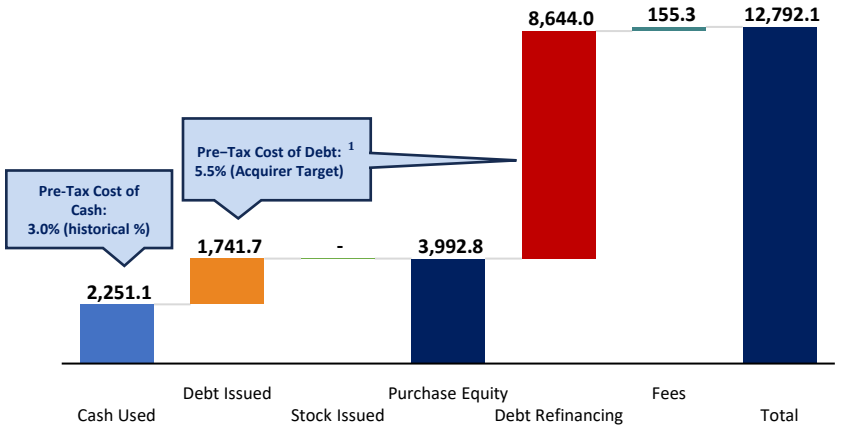
Key Deal Assumptions for Merger Analysis

Offer Price, and 1-Day Premium	▪ $ 14.00 Per Share @ 102.6% Premium, for all of the 285mm diluted shares outstanding making the equity purchase price $ 3,993mm
Cash / Debt / Stock Mix	▪ Scenario 1 Uses $ 2,252mm cash and $ 1,741 debt to fund equity purchase price of $ 3,993mm (Management Case), Scenario 2 uses $ 2,252mm cash and funds the rest with stock
Treatment of Target's Debt and Cash	▪ Target's existing debt of $ 8,644mm is refinanced and replaced with new debt; target's cash contributes to the funding
Expense Synergies	▪ $ 35mm in year 1 fully realizing at $ 350mm by Year 4 (5% of the combined company's Operating Expenses when fully realized)
Merger & Integration Costs	▪ 80% of year 4 Expense Synergies; (80% of the Year 4 run-rate), phased 50/30/20 % over three years.
Purchase Accounting	▪ 10% PP&E Write-Up ($ 205mm) and 60% of the Purchase Premium allocated to Other Intangible Assets ($4,045mm), with 2/3 Indefinite-Lived
Repayment of New Loan	▪ 1% Mandatory Repayment along Additional Repayment using 100% cash sweep with $ 100mm minimum cash balance on the Balance Sheet

Financing Assumptions

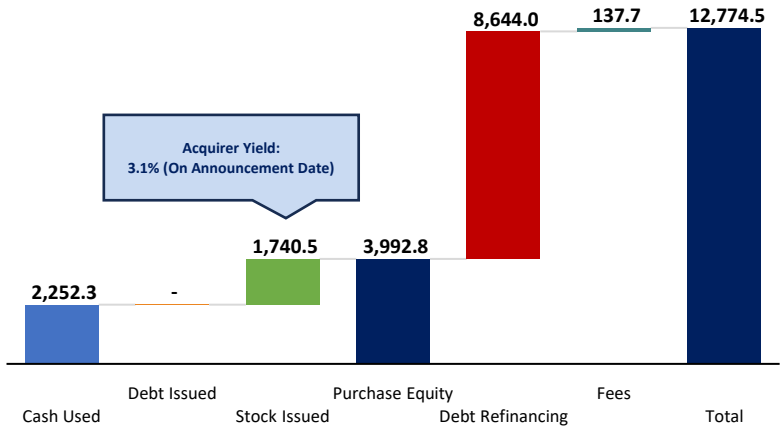
(All financials in $mm except share data)

Scenario 1 – Cash + Debt



- Minimum cash balance is maintained at 1.0% of FY27E $ combined revenue @ $ 129mm, with the remaining available cash of $ 2,252mm used to fund the transaction.
- The remaining purchase consideration is funded through $ 1,741mm of incremental debt financing, sized within the 3.0x maximum leverage assumption based on FY27E combined EBITDA.
- Organon's existing debt of $ 8,644mm is assumed to be refinanced with 1% advisory fee on equity purchase price ($ 40mm), 1% debt issuance fee on total debt issues ($ 105mm) along with legal and other fees ($ 10mm), resulting in total debt of $ 10,434mm including the financing of the advisory and legal fee of $ 50mm and total funding of $ 12,792mm.

Scenario 2 – Cash + Stock



- The $3,993mm equity purchase price is funded with the same $ 2,252mm of available cash as in scenario 1, the remaining purchase consideration is funded through $1,741mm of stock consideration.
- ~94mm new Sun Pharma shares issued (@ 3.9% dilution) to fund the equity consideration, with no change to the target debt refinancing requirement.
- Organon's existing debt of $ 8,644mm is assumed to be refinanced with 1% advisory fee ($ 40mm), 1% debt issuance fee ($ 88mm) along with legal and other fees ($ 10mm), resulting in total debt of $ 8,694mm including the financing of the advisory and legal fee of $ 50mm, and total funding of $ 12,775mm.
- We save $ 17mm in debt issuance fee as we take up less debt than in scenario 1

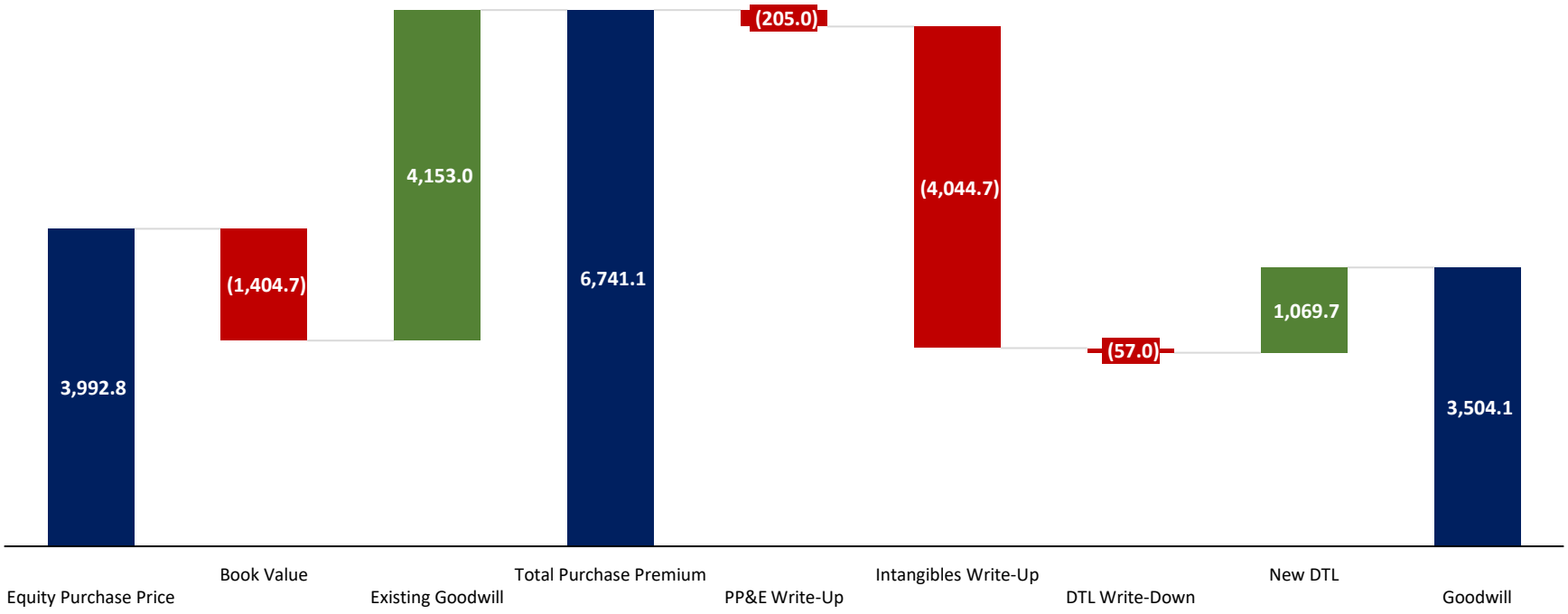
1. *New debt modelled at 5.5% pre-tax. We estimate a blended cost of ~5.6%. The blend assumes:*
(i) ~$8.6bn of Organon's existing debt remains at its current ~5.5% cost (Sun management commentary, via The Informist / Outlook Business, Apr-2026), on the basis that Organon bondholders exchange into Sun Pharma notes at existing coupons, reported as under consideration (Bloomberg, 6-May-2026). Issuance fee shown on the full amount is conservative if the exchange proceeds; and,
(ii) ~$1.7bn of incremental acquisition debt at ~6.0–6.3%, in line with Sun's BBB+ Kd. Sun has reportedly explored a euro-denominated bond expected to carry a rating one to two notches above OGN's pre-merger rating (Bloomberg).

Purchase Accounting Assumptions

(All financials in $mm unless stated otherwise)

- Purchase accounting assumes a 10.0% PP&E write-up ($205mm), with incremental depreciation over 8 years. Of the $6.74bn allocable purchase premium, 40.0% is allocated to indefinite-lived intangibles and 20.0% to definite-lived intangibles, with the latter amortized over five years. A 25.2% tax rate results in a $1.07bn new deferred tax liability.

Equity Purchase Price to Goodwill Bridge:



Treatment of New Debt Issued

(All financials in $mm unless stated otherwise)

- Cash available for debt repayment increases from $ 478mm in FY28E to $ 1,385mm in FY31E, with a 100% cash sweep applied to optional debt repayment while maintaining $ 100mm minimum cash balance on the balance sheet, reducing the opening debt balance from $ 10,435mm to $ 6,727mm and lowering annual interest expense from $ 558mm to $ 410mm at the assumed 5.5% interest rate.

Debt Schedule – Scenario 1 (Cash + Debt):

Cash Flow and Debt Repayment - Scenario 1:	*Units:*		Projected - Combined Period: FY27	FY28	FY29	FY30	FY31
Cash Flow from Operating Activities	*$ M*			$ 2,365.2	$ 2,675.1	$ 2,972.0	$ 3,459.0
(-) Cash Flow from Investing Activities:	*$ M*			(1,197.7)	(1,363.0)	(1,193.4)	(1,199.6)
(-) Lease Principal Repayment:	*$ M*			(19.8)	(21.3)	(22.8)	(24.2)
(-) Dividends Payment:	*$ M*			(594.8)	(670.3)	(717.7)	(768.6)
Cash Available for Debt Repayment:	*$ M*			**553.0**	**620.5**	**1,038.0**	**1,466.5**
Total Mandatary Repayments:	*$ M*	Min Cash		(104.3)	(98.5)	(92.3)	(81.9)
Cash From Balance Sheet:	*$ M*	$ 100.00		29.2	-	-	(0.0)
Cash Available for Optional Debt Repayment:	*$ M*			**$ 477.9**	**$ 522.0**	**$ 945.7**	**$ 1,384.6**
New Debt Issued							
Interest Rate:	*%*	*5.500%*					
Term:	*Term*	5 Years					
Amortization:	*%*	*1.0%*					
Beginning Debt Balance:	*$ M*			$ 10,434.5	$ 9,852.2	$ 9,231.7	$ 8,193.7
Mandatory Repayments:	*$ M*	Cash Sweep		(104.3)	(98.5)	(92.3)	(81.9)
Optional Repayments:	*$ M*	100.0%		(477.9)	(522.0)	(945.7)	(1,384.6)
Ending Balance	*$ M*		**$ 10,434.5**	**$ 9,852.2**	**$ 9,231.7**	**$ 8,193.7**	**$ 6,727.1**
Interest Rate	*%*			*5.500%*	*5.500%*	*5.500%*	*5.500%*
Interest Expenses	*$ M*			557.9	524.8	479.2	410.3
Foregone Interest on Cash used in Financing the Deal:	*$ M*			68.3	68.3	68.3	68.3
Foregone Interest on Cash used in Debt Repayment:	*$ M*			0.9	0.9	0.9	0.9

- *Minimum cash is 1.0% of combined revenue ($129mm) at close; the sweep operates with a $100mm floor, so the $29mm excess is applied to debt repayment in FY28.*

Treatment of New Debt Issued (Cont'd)

(All financials in $mm unless stated otherwise)

- The Cash + Stock structure avoids $ 1,741mm of incremental acquisition debt by funding the same through equity, while the $ 2,252mm cash contribution remains subject to foregone interest. The $ 8,694mm refinancing debt at close is repaid through a 100% cash sweep to $ 4,679mm by FY31E, lowering annual interest expense from $ 460mm to $ 300mm at the assumed 5.5% interest rate. The use of cash for debt repayment results in an additional $ 1mm annual foregone interest expense.

Debt Schedule – Scenario 2 (Cash + Stock)

Cash Flow and Debt Repayment - Scenario 2:	Units:		Projected - Combined Period: FY27	FY28	FY29	FY30	FY31
Cash Flow from Operating Activities	$M			$ 2,437.5	$ 2,750.4	$ 3,050.4	$ 3,540.7
(-) Cash Flow from Investing Activities:	$M			(1,197.7)	(1,363.0)	(1,193.4)	(1,199.6)
(-) Lease Principal Repayment:	$M			(19.8)	(21.3)	(22.8)	(24.2)
(-) Dividends Payment:	$M			(594.8)	(670.3)	(717.7)	(768.6)
Cash Available for Debt Repayment:	$M			**625.2**	**695.8**	**1,116.5**	**1,548.3**
Total Mandatary Repayments:	$M	Min Cash		(86.9)	(80.4)	(73.4)	(62.3)
Cash From Balance Sheet:	$M	$ 100.00		29.2	-	-	(0.0)
Cash Available for Optional Debt Repayment:	$M			**$ 567.5**	**$ 615.4**	**$ 1,043.0**	**$ 1,486.0**
New Debt Issued							
Interest Rate:	%	*5.500%*					
Term:	Term	5 Years					
Amortization:	%	*1.0%*					
Beginning Debt Balance:	$M			$ 8,693.9	$ 8,039.5	$ 7,343.7	$ 6,227.2
Mandatory Repayments:	$M	Cash Sweep		(86.9)	(80.4)	(73.4)	(62.3)
Optional Repayments:	$M	100.0%		(567.5)	(615.4)	(1,043.0)	(1,486.0)
Ending Balance	$M		**$ 8,693.9**	**$ 8,039.5**	**$ 7,343.7**	**$ 6,227.2**	**$ 4,678.9**
Interest Rate	%			*5.500%*	*5.500%*	*5.500%*	*5.500%*
Interest Expenses	$M			460.2	423.0	373.2	299.9
Foregone Interest on Cash used in Financing the Deal:	$M			68.3	68.3	68.3	68.3
Foregone Interest on Cash used in Debt Repayment:	$M			0.9	0.9	0.9	0.9

- *Minimum cash is 1.0% of combined revenue ($129mm) at close; the sweep operates with a $100mm floor, so the $29mm excess is applied to debt repayment in FY28.*

Key Assumptions for Acquirer and Target's Standalone Projections

Simple Calendarization: Sun Pharma's fiscal year (ending March) is combined with Organon's preceding calendar year (e.g., Sun FY28E + OGN CY27E = combined FY28E) across all projection years, without calendarization.

Revenue Growth	▪ Acquirer: we assume an 8% growth in FY27 decreasing to 6% in FY31, as management expects a higher single digit growth rate in the coming years. ▪ Target: Same as assumed in the DCF
Operating Margins	▪ Acquirer:25.3% rising to 26.2% by the end of the 5-year projected period ▪ Target: Same as assumed in the DCF
Debt / Lease Liabilities Interest Rates	▪ Acquirer: 9.4% in FY26, we assume 8.8% flat for projection period ▪ Target: Existing Debt to be refinanced at an ~5.5% interest rate
Tax rate	▪ Acquirer: Marginal Tax Rate 25.17%; Combined Statements assume the Acquirer's Tax Rate ▪ Target: Marginal Tax Rate 32.5%
Capital Expenditures, Acquisitions and D&A	▪ Acquirer: Capex, Acquisitions, D&A at historical average of 4.8%, 0.5% and 5.1% ▪ Target: Same as assumed in the DCF
Net working Capital	▪ Acquirer: NWC projected based on historical trends and normalized levels. ▪ Target: Same as assumed in the DCF
Existing Debt	▪ Acquirer: Existing Debt of 440.6m assumed to be paid off in FY27E ▪ Target: Existing Debt of 8,644m remained flat in standalone, but will be refinanced in the pro-forma statement

Accretion / (Dilution) Analysis

(All financials in $mm unless stated otherwise)

- The transaction is accretive throughout the projection period, with **EPS accretion increasing from 17.3% in FY28E to 38.5% in FY31E**, driven by the ramp-up of $ 350mm of cost synergies along with the roll-off of $ 280mm of integration costs; accretion is further supported by the amortization of the $ 10,435mm acquisition and refinancing debt tranche to $ 6,727mm in year 4, reducing the annual interest expense from $ 558mm to $ 410mm, while no new shares are issued and the $ 69mm annual foregone interest income remains a fixed drag.

Scenario 1 – Cash + Debt

			Projected - Combined Period:			
		Pro Forma	1	2	3	4
Accretion / (Dilution) Analysis - Scenario 1	*Units:*	FY27	FY28	FY29	FY30	FY31
Acquirer EBIT:	*$ M*	$ 1,732	$ 1,900	$ 2,092	$ 2,238	$ 2,373
Target EBIT:	*$ M*	1,296	1,356	1,334	1,258	1,375
(+) Cost Saving Synergies:	*$ M*	-	35	105	210	350
(-) Merger Integration Costs:	*$ M*	-	(140)	(84)	(56)	-
(-) Amortization of New Intangibles:	*$ M*	-	(270)	(270)	(270)	(270)
(-) Depreciation of PP&E Write-Up:	*$ M*	-	(26)	(26)	(26)	(26)
Pro Forma Combined EBIT:	*$ M*	**3,028**	**2,856**	**3,151**	**3,356**	**3,803**
(-) Combined Interest Expense on Existing Liabilities:	*$ M*	-	(8)	(8)	(8)	(7)
(+) Combined Interest Income on Assets:	*$ M*	-	161	188	218	250
(+) Other Income:	*$ M*	-	26	43	43	43
(-) Foregone Interest on Cash:	*$ M*	-	(69)	(69)	(69)	(69)
(-) Interest Expense on New Debt:	*$ M*	-	(558)	(525)	(479)	(410)
(-) Amortization of Financing Fees:	*$ M*	-	(21)	(21)	(21)	(21)
Pro Forma Earning Before Tax:	*$ M*	**3,028**	**2,387**	**2,760**	**3,039**	**3,588**
(-) Income Tax Expense @ Buyers Marginal Tax Rate:	*$ M*		(601)	(695)	(765)	(903)
(+ / -) Adjustments for NCI / Associates / Joint Venture:	*$ M*		(10)	(11)	(12)	(13)
Pro Forma Combined Net Income:	*$ M*		**$ 1,776**	**$ 2,054**	**$ 2,263**	**$ 2,672**
Acquirer - Standalone Diluted Shares Outstanding:	*M Shares*		2,402	2,402	2,402	2,402
(+) New Shares Issued in the Transaction:	*M Shares*		0.0	0.0	0.0	0.0
Pro Forma Fully Diluted Shares Outstanding:	*$ M*		**2,402**	**2,402**	**2,402**	**2,402**
Pro Forma Combined Diluted EPS:	*$ / Shares*		**$ 0.74**	**$ 0.86**	**$ 0.94**	**$ 1.11**
Acquirer Standalone Diluted EPS:	*$ / Shares*		0.63	0.70	0.75	0.80
Accretion / (Dilution) - $	*$*		**$ 0.11**	**$ 0.16**	**$ 0.19**	**$ 0.31**
Accretion / (Dilution) - %	*%*		**17.3%**	**22.6%**	**25.3%**	**38.5%**
Accretive / Dilutive	*Result*		***Accretive***	***Accretive***	***Accretive***	***Accretive***

Scenario 1 – Output

(All financials in $mm unless stated otherwise)

Sensitivity - Year 1 EPS Accretion/Dilution vs. Offer Price Per Share and Pre-Tax Cost of Debt on New Debt %:

- At the $ 14.00 offer (102.6% premium) and 5.50% pre-tax cost of new debt, FY28E (Year 1) EPS accretion is 17.3%. Year 1 is the trough, as $ 140mm of integration costs outweigh $ 35mm of synergies. The deal is accretive across the whole grid, ranging from 7.7% ($ 16.00 at 6.75% Kd) to 23.1% ($ 12.50 at 4.75% Kd).
- Each $ 0.50 increase in offer price (~$ 143mm of extra equity value, debt-funded as available cash is already fully used) reduces Year 1 accretion by only ~0.7pp. The impact is muted because just part of the extra price reaches the P&L: interest at 5.50% and amortization of definite-lived intangibles (20% of the excess purchase price, over 5 years). The rest goes to indefinite-lived intangibles and goodwill, which are not amortized. Cutting the price from $ 14.00 to $ 12.50 adds just 2.1pp (17.3% to 19.4%).
- Each 25bps increase in the cost of new debt reduces accretion by ~1.3pp, which is equivalent to ~$ 0.90 of offer price (~$ 260mm of equity value). The impact is larger because the rate applies to the full ~$ 10.5B of new debt, including the refinancing of Organon's existing $ 8.6B of debt, not just the $ 1.7B raised for the equity purchase. Moving from 5.50% to 4.75% adds 3.8pp (17.3% to 21.1%). Financing terms, not price, are the main driver of EPS.
- EPS accretion does not constrain the price, as the deal stays accretive even at $ 16.00. The return analysis is more discriminating: at $ 14.00 the deal breaks even at ~8% synergy realization if cash flows are discounted at Sun's 7.87% (IRR 10.83% at 100%), but needs ~95% in the Base case and ~106% at Organon's 9.32% WACC (IRR 9.14% at 100%).

		Offer Price Per Share:							
	Premium:	80.9%	88.1%	95.4%	**102.6%**	109.8%	117.1%	124.3%	131.5%
		12.50	13.00	13.50	**14.00**	14.50	15.00	15.50	16.00
Pre-Tax Cost of Debt on New Debt %:	4.75%	23.1%	22.4%	21.8%	**21.1%**	20.5%	19.9%	19.2%	18.6%
	5.00%	21.8%	21.2%	20.5%	**19.9%**	19.2%	18.6%	17.9%	17.2%
	5.25%	20.6%	19.9%	19.3%	**18.6%**	17.9%	17.2%	16.6%	15.9%
	5.50%	**19.4%**	**18.7%**	**18.0%**	**17.3%**	**16.6%**	**15.9%**	**15.2%**	**14.5%**
	5.75%	18.2%	17.5%	16.7%	**16.0%**	15.3%	14.6%	13.9%	13.2%
	6.00%	17.0%	16.2%	15.5%	**14.8%**	14.0%	13.3%	12.6%	11.8%
	6.25%	15.7%	15.0%	14.2%	**13.5%**	12.7%	12.0%	11.2%	10.5%
	6.50%	14.5%	13.7%	12.9%	**12.2%**	11.4%	10.6%	9.9%	9.1%
	6.75%	13.3%	12.5%	11.7%	**10.9%**	10.1%	9.3%	8.5%	7.7%

Accretion / (Dilution) Analysis (Cont'd)

(All financials in $mm unless stated otherwise)

- The transaction is modestly more accretive in year 1 with this scenario, with EPS accretion increasing from 17.7% in FY28E to 37.5% in FY31E, Funding $ 1,741mm of the purchase price with ~94mm new Sun Pharma shares (~4% dilution) instead of debt, this lowers interest expense on new debt from $ 558mm to $ 460mm in FY28E, making it modestly more accretive than Scenario 1 in year 1 (17.7% vs 17.3%). The advantage does not last: Scenario 1 becomes more accretive from FY29E as its cash sweep repays debt (interest expense falls to $ 410mm by FY31E), while the share dilution is permanent, leaving Cash + Stock ~1.0 pt behind by FY31E (37.5% vs 38.5%). The ~$ 69mm annual foregone interest on cash used is the same as in Scenario 1.

Scenario 2 – Cash + Stock

			Projected - Combined Period:			
		Pro Forma	1	2	3	4
Accretion / (Dilution) Analysis - Scenario 2	*Units:*	FY27	FY28	FY29	FY30	FY31
Acquirer EBIT:	*$ M*	$ 1,732	$ 1,900	$ 2,092	$ 2,238	$ 2,373
Target EBIT:	*$ M*	1,296	1,356	1,334	1,258	1,375
(+) Cost Saving Synergies:	*$ M*	-	35	105	210	350
(-) Merger Integration Costs:	*$ M*	-	(140)	(84)	(56)	-
(-) Amortization of New Intangibles:	*$ M*	-	(270)	(270)	(270)	(270)
(-) Depreciation of PP&E Write-Up:	*$ M*	-	(26)	(26)	(26)	(26)
Pro Forma Combined EBIT:	*$ M*	**3,028**	**2,856**	**3,151**	**3,356**	**3,803**
(-) Combined Interest Expense on Existing Liabilities:	*$ M*	-	(8)	(8)	(8)	(7)
(+) Combined Interest Income on Assets:	*$ M*	-	161	188	218	250
(+) Other Income:	*$ M*	-	26	43	43	43
(-) Foregone Interest on Cash:	*$ M*	-	(69)	(69)	(69)	(69)
(-) Interest Expense on New Debt:	*$ M*	-	(460)	(423)	(373)	(300)
(-) Amortization of Financing Fees:	*$ M*	-	(18)	(18)	(18)	(18)
Pro Forma Earning Before Tax:	*$ M*	**3,028**	**2,488**	**2,865**	**3,149**	**3,702**
(-) Income Tax Expense @ Buyers Marginal Tax Rate:	*$ M*		(626)	(721)	(793)	(932)
(+ / -) Adjustments for NCI / Associates / Joint Venture:	*$ M*		(10)	(11)	(12)	(13)
Pro Forma Combined Net Income:	*$ M*		**$ 1,852**	**$ 2,133**	**$ 2,344**	**$ 2,757**
Acquirer - Standalone Diluted Shares Outstanding:	*M Shares*		2,402	2,402	2,402	2,402
(+) New Shares Issued in the Transaction:	*M Shares*		93.9	93.9	93.9	93.9
Pro Forma Fully Diluted Shares Outstanding:	*$ M*		**2,495**	**2,495**	**2,495**	**2,495**
Pro Forma Combined Diluted EPS:	*$ / Shares*		**$ 0.74**	**$ 0.85**	**$ 0.94**	**$ 1.11**
Acquirer Standalone Diluted EPS:	*$ / Shares*		0.63	0.70	0.75	0.80
Accretion / (Dilution) - $	*$*		**$ 0.11**	**$ 0.16**	**$ 0.19**	**$ 0.30**
Accretion / (Dilution) - %	*%*		**17.7%**	**22.5%**	**24.9%**	**37.5%**
Accretive / Dilutive	*Result*		***Accretive***	***Accretive***	***Accretive***	***Accretive***

Scenario 2 – Output

(All financials in $mm unless stated otherwise)

Sensitivity - Year 1 EPS Accretion/Dilution vs. Offer Price Per Share and Expense Synergy Realization %:

- At the $ 14.00 offer (102.6% premium) and 100% synergy realization, Scenario 2 (Cash + Stock) Year 1 EPS accretion is 17.7%, ~0.4pp above Scenario 1 (17.3%), as stock funds the $ 1,741mm equity slice instead of debt. The deal is accretive across the whole grid, ranging from 13.5% ($ 16.00 at 0% realization) to 20.7% ($ 12.50 at 160%).
- Each $ 0.50 increase in offer price (~$ 143mm of extra equity value per increase) reduces Year 1 accretion by ~0.6pp, slightly less than in Scenario 1. The extra price is paid in stock, so it adds shares (~7.7mm, or ~0.3% dilution using acquirers share price of $ 18.53, per $ 0.50) and amortization of definite-lived intangibles rather than interest, while the acquired earnings stay fixed.
- Each 20pp change in synergy realization moves Year 1 accretion by only ~0.35pp. Year 1 synergies are just $ 35mm at full realization, against $ 140mm of integration costs. The deal is accretive even with zero synergies, so EPS does not test the synergy case.
- EPS accretion does not constrain the price or the synergy assumption: the deal stays accretive at $ 16.00 with no synergies at all @ 13.5%. The return analysis is more discriminating: at $ 14.00 the deal breaks even at ~8% synergy realization if cash flows are discounted at Sun's 7.87% (IRR 10.83% at 100%), but needs ~95% in the Base case and ~106% at Organon's 9.32% WACC (IRR 9.14% at 100%).

		Offer Price Per Share:							
	Premium:	80.9%	88.1%	95.4%	**102.6%**	109.8%	117.1%	124.3%	131.5%
		12.50	13.00	13.50	**14.00**	14.50	15.00	15.50	16.00
Expense Synergy Realization %:	160.00%	20.7%	20.0%	19.4%	**18.7%**	18.1%	17.5%	16.8%	16.2%
	140.00%	20.3%	19.7%	19.0%	**18.4%**	17.8%	17.1%	16.5%	15.9%
	120.00%	20.0%	19.3%	18.7%	**18.1%**	17.4%	16.8%	16.2%	15.5%
	100.00%	**19.6%**	**19.0%**	**18.4%**	**17.7%**	**17.1%**	**16.4%**	**15.8%**	**15.2%**
	80.00%	19.3%	18.7%	18.0%	**17.4%**	16.7%	16.1%	15.5%	14.9%
	60.00%	19.0%	18.3%	17.7%	**17.0%**	16.4%	15.8%	15.1%	14.5%
	40.00%	18.6%	18.0%	17.3%	**16.7%**	16.1%	15.4%	14.8%	14.2%
	20.00%	18.3%	17.6%	17.0%	**16.4%**	15.7%	15.1%	14.5%	13.9%
	0.00%	17.9%	17.3%	16.7%	**16.0%**	15.4%	14.8%	14.1%	13.5%

- *Cost of debt sensitivity is not shown for Scenario 2. Scenario 1, which carries more debt (~$ 10.5B vs. ~$ 8.7B), remains accretive across all tested costs of debt. Scenario 2 has less debt exposed to a higher rate, so it is less sensitive and remains accretive.*

Recommendation

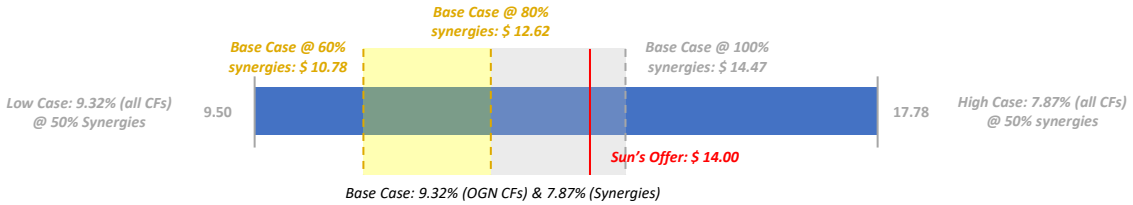
Recommendation

(All financials in $mm unless stated otherwise)

Our analysis supports $ 12.00 with cash + debt as target price, and $ 14.00 as a ceiling. $ 14.00 sits above every valuation (DCF and comps), so the deal rests on synergies: at $ 14.00 the deal needs ~8% of the $350mm to clear Sun's 7.87% hurdle, but at Organon's 9.32% WACC it needs ~106%. At 12.00, the deal needs no synergies to clear Sun's hurdle, but for Organon it needs ~80%.

Offer / Premium of	Deal IRR at 7.87%, 100% synergies	Deal IRR at 9.32%, 100% synergies	Required Synergies to Break-even (3 cases)	EPS Accretion
$ 12.00	**11.63%** at $ 12.00	**9.94%** at $ 12.00	**<0% / 73% / 80%**	**17% to 38%**
+ 73.7% vs. unaffected	Vs. 10.83% at $ 14.00	Vs. 9.14% at $ 14.00	Vs. 8% / 95% / 106% at $ 14.00	FY28 to FY31 in Scenario 1

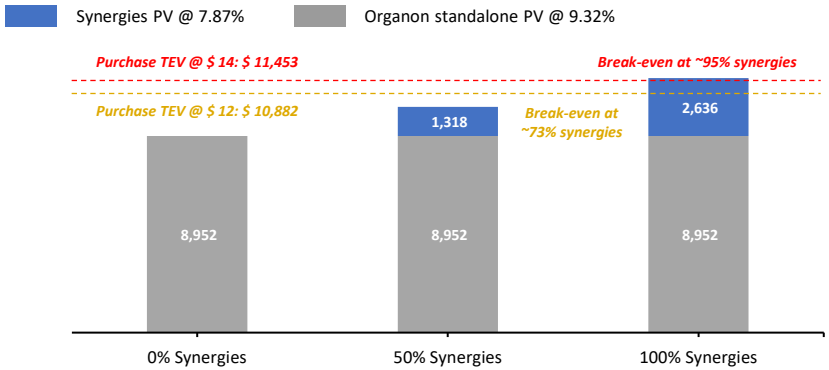
Price Corridor (Range from Returns Analysis):



Base Case: 9.32% (OGN CFs) & 7.87% (Synergies)

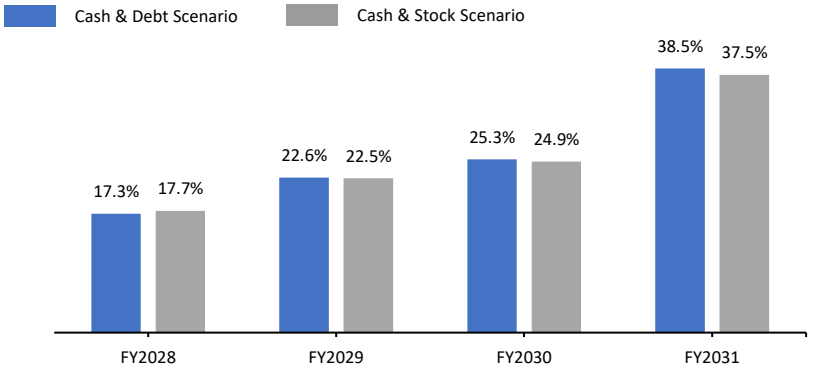
Returns: Break-even with ~73% synergies Vs. ~95%

At $ 12.00 the deal break-evens at just ~73% realisation compared to ~95% at $ 14.00



Funding: At $ 14.00, cash & debt edges ahead from FY29

EPS Accretion by Funding Scenario



- *Net EV $11,452.8mm after $440mm Jada proceeds. High: all at Sun's 7.87%, Base: Organon CFs at 9.32%, synergies at 7.87%, Low: all at Organon's 9.32%.*

Appendix

Target – Weighted Average Cost of Capital Analysis

(All financials in $mm unless stated otherwise)

CAPM

Company	Ticker	Market Equity Value	Total Debt	Total Debt / Capitalization	Total Debt / Equity	Tax Rate	Levered Beta[1]	Unlevered Beta[2]
Viatris Inc.	VTRS	$ 19,549.0	$ 11,990.0	38.0%	61.3%	28.5%	0.89	0.62
Teva Pharmaceutical Industries Limited	TEVA	44,899.0	16,929.0	27.4%	37.7%	23.0%	0.87	0.67
Amneal Pharmaceuticals, Inc.	AMRX	6,297.3	2,748.7	30.4%	43.6%	32.5%	1.25	0.97
Sandoz Group AG	SDZ	35,538.9	5,993.0	14.4%	16.9%	15.0%	0.49	0.43
Hikma Pharmaceuticals PLC	HIK	4,499.1	1,444.0	24.3%	32.1%	25.0%	0.66	0.53
Mean:		**$ 22,156.6**	**$ 7,820.9**	**26.1%**	**35.3%**	**24.8%**	**0.83**	**0.64**
Median:		**19,549.0**	**5,993.0**	**23.5%**	**30.7%**	**25.0%**	**0.87**	**0.62**
Organon & Co	**OGN**	**$ 1,971**	**$ 8,644.0**	**81.4%**	**438.6%**	**32.5%**	**1.52**	**0.38**

Region	% of Revenue	Country Risk Premium
Europe and Canada	26.0%	2.09%
United States	25.8%	1.00%
Asia Pacific and Japan	16.1%	2.58%
China	13.3%	1.76%
Latin America, Middle East, Russia, and Africa	17.2%	10.12%
Others	1.5%	2.99%
Country Risk Premium		**3.24%**

WACC Sensitivities

D / TC \ Unlevered Beta	0.52	0.62	0.72	0.82
3.5%	9.8%	10.1%	10.5%	10.8%
23.5%	9.0%	**9.3%**	9.6%	10.0%
43.5%	8.2%	8.5%	8.8%	9.1%
63.5%	7.5%	7.7%	8.0%	8.3%
83.5%	6.7%	7.0%	7.2%	7.5%

WACC

US 10Y Treasury Yield	5.28%
US Default Spread	0.43%
Risk-Free Rate[3]	4.85%
Unlevered Beta	0.62
Total Debt / Total Capitalization	23.5%
Levered Equity Beta	0.75

	Min	Mid	Max
Mature Market Risk Premium[4]	2.5%	3.5%	4.5%
Country Risk Premium[5]		3.2%	
Equity Cost of Capital[6]	9.9%	10.7%	11.4%
ICE BofA Spread for BB		1.9%	
Pre-Tax Cost of Debt[7]	6.2%	7.2%	8.19%
Post-Tax Cost of Debt	4.2%	4.9%	5.5%
WACC[8]	**8.6%**	**9.3%**	**10.1%**

1. Observed peer equity betas, including each peer's own debt; Organon's own 1.52 is inflated by 81% leverage, so the peer set is used.
2. Leverage removed per peer, βu = βL ÷ [1 + (1 − tax) × D/E]; the 0.62 median is relevered at 23.5% D/TC and 32.5% tax to reach 0.75
3. 4.85% = 10Y US Treasury yield less the US default spread (US CDS − Switzerland CDS), as the US is no longer AAA; a default-free USD rate that matches the USD cash flows
4. Implied ERP from a payout-based DDM on the S&P 500 (the discount rate equating index value to expected payouts, less the risk-free rate); estimated at 3.5%, ranges from 2.5% to 4.5%
5. 3.24%, weighted by revenue region (where Organon earns its cash, not where it is domiciled); source: https://papers.ssrn.com/sol3/papers.cfm?abstract_id=6817942
6. Rf + (βL × ERP) + CRP = 4.85% + (0.75 × 3.5%) + 3.24% = 10.7% (9.9%–11.4% across the ERP range)
7. 7.2%, the US 10Y T-Yield plus the ICE BofA spread of 1.91% for BB rated companies.
8. Estimated as: WACC: Ke * E/TC + Kd * (D/TC * (1 –t))

Acquirer – Weighted Average Cost of Capital Analysis

(All financials in ₹mm unless stated otherwise)

CAPM

Company	Ticker	Market Equity Value	Total Debt	Total Debt / Capitalization	Total Debt / Equity	Tax Rate	Levered Beta[1]	Unlevered Beta[2]
Dr Reddys Laboratories Ltd	DRREDDY	₹ 10,01,700.0	₹ 77,341.0	7.2%	7.7%	22.9%	0.24	0.23
Cipla Ltd	CIPLA	10,88,080.0	6,137.7	0.6%	0.6%	25.9%	0.08	0.08
Zydus Lifesciences Ltd	ZYDUSLIFE	11,42,390.0	1,25,030.0	9.9%	10.9%	24.1%	0.37	0.34
Lupin Ltd	LUPIN	9,27,840.0	66,161.8	6.7%	7.1%	22.1%	0.16	0.15
Aurobindo Pharma Ltd	AUROPHARMA	9,63,760.0	80,728.4	7.7%	8.4%	31.5%	0.03	0.03
	Mean:	**₹ 10,24,754.0**	**₹ 71,079.8**	**6.5%**	**6.9%**	**25.3%**	**0.18**	**0.17**
	Median:	**10,01,700.0**	**77,341.0**	**7.2%**	**7.7%**	**24.1%**	**0.16**	**0.15**
Sun Pharmaceutical Industries Ltd	**SUNPHARMA**	**41,19,898.1**	**40,816.1**	**1.0%**	**1.0%**	**25.2%**	**0.12**	**0.12**

Region	% of Revenue	Country Risk Premium
India:	33.0%	2.03%
United States:	29.0%	1.00%
Emerging Market	19.0%	6.21%
Rest of the World	19.0%	2.99%
Country Risk Premium		**2.71%**

WACC Sensitivities

D / TC \ Unlevered Beta	0.00	0.15	0.30	0.45
0.0%	7.6%	8.1%	8.6%	9.1%
7.2%	7.4%	**7.9%**	8.4%	8.9%
14.3%	7.2%	7.7%	8.2%	8.7%
21.5%	6.9%	7.4%	7.9%	8.4%
28.7%	6.7%	7.2%	7.7%	8.2%

WACC

US 10Y Treasury Yield	5.28%
US Default Spread	0.43%
Risk-Free Rate[3]	4.85%
Unlevered Beta	0.15
Total Debt / Total Capitalization	7.2%
Levered Equity Beta	0.16

	Min	Mid	Max
Mature Market Risk Premium[4]	2.5%	3.5%	4.5%
Country Risk Premium[5]		2.7%	
Equity Cost of Capital[6]	8.0%	8.1%	8.3%
ICE BofA Spread for BBB		1.0%	
Pre-Tax Cost of Debt[7]	5.3%	6.3%	7.32%
Post-Tax Cost of Debt	4.0%	4.7%	5.5%
WACC[8]	**7.7%**	**7.9%**	**8.1%**

1. Observed peer equity betas, including each peer's own debt; Sun Pharma's own 0.12 is unfazed by just 1% leverage.
2. Leverage removed per peer, βu = βL ÷ [1 + (1 − tax) × D/E]; the 0.15 median is relevered at 7.2% D/TC and 25.2% tax to reach 0.16
3. 4.85% = 10Y US Treasury yield less the US default spread (US CDS − Switzerland CDS), as the US is no longer AAA; a default-free USD rate that matches the USD cash flows
4. Implied ERP from a payout-based DDM on the S&P 500 (the discount rate equating index value to expected payouts, less the risk-free rate); estimated at 3.5%, ranges from 2.5% to 4.5%
5. 2.71%, weighted by revenue region (where Sun Pharma earns its cash, not where it is domiciled); source: https://papers.ssrn.com/sol3/papers.cfm?abstract_id=6817942
6. Rf + (βL × ERP) + CRP = 4.85% + (0.16 × 3.48%) + 2.71% = 8.11% (7.95%–8.27% across the ERP range)
7. 6.3%, the US 10Y T-Yield plus the ICE BofA spread of 1.04% for BBB rated companies .
8. Estimated as: WACC: Ke * E/TC + Kd * (D/TC * (1 –t))

Combined Income Statement – Scenario 1

Combined Income Statement:	Units:	Projected - Combined Period: FY28	FY29	FY30	FY31
(+) Sun Pharma Revenue:	$ M	$ 7,404.3	$ 7,996.6	$ 8,556.4	$ 9,069.7
(+) Organon Revenue:	$ M	6,063.3	6,098.1	6,178.3	6,288.5
Total Revenue:	$ M	**13,467.5**	**14,094.7**	**14,734.7**	**15,358.3**
(-) Cost of Sales:	$ M	(4,248.4)	(4,324.5)	(4,498.6)	(4,553.1)
Gross Profit:	$ M	**9,219.1**	**9,770.2**	**10,236.0**	**10,805.2**
(-) Selling, General & Administration Expenses:	$ M	(4,566.4)	(4,898.1)	(5,226.5)	(5,480.2)
(-) Research & Development:	$ M	(710.4)	(728.7)	(762.4)	(795.1)
(+) OpEx Synergies:	$ M	35.0	105.0	210.0	350.0
(-) Merger Integration Costs:	$ M	(140.0)	(84.0)	(56.0)	-
(-) Amortization of New Intangibles:	$ M	(269.6)	(269.6)	(269.6)	(269.6)
(-) Depreciation of PP&E Write-Up:	$ M	(25.6)	(25.6)	(25.6)	(25.6)
(-) Acquired in-process research and development and mil	$ M	(30.1)	(30.3)	(30.7)	(31.2)
(-) Depreciation & Amortization:	$ M	(656.0)	(687.6)	(719.7)	(750.8)
Operating Expenses:	$ M	**(6,363.1)**	**(6,619.0)**	**(6,880.5)**	**(7,002.6)**
Operating Profit:	$ M	**2,856.0**	**3,151.2**	**3,355.5**	**3,802.6**
(-) Interest Expense:	$ M	(8.3)	(8.2)	(7.8)	(6.7)
(+) Interest Income:	$ M	161.2	188.3	217.9	249.5
(-) Foregone Interest on Cash:	$ M	(69.1)	(69.1)	(69.1)	(69.1)
(-) Interest Expense on New Debt:	$ M	(557.9)	(524.8)	(479.2)	(410.3)
(-) Amortization of Financing Fees:	$ M	(21.1)	(21.1)	(21.1)	(21.1)
(+/-) Other Income / (Expense):	$ M	26.2	43.5	43.1	43.0
(-) Goodwill Impairment:	$ M	-	-	-	-
Pre-Tax Income:	$ M	**2,387.1**	**2,759.8**	**3,039.3**	**3,587.9**
(-) Income Tax:	$ M	(600.8)	(694.6)	(765.0)	(903.1)
Net Income before JV and Associates:	$ M	**1,786.2**	**2,065.1**	**2,274.3**	**2,684.8**
(+/-) Share of Profit/(Loss) from JV and Associates:	$ M	(5.2)	(5.7)	(6.2)	(6.6)
Net Income before Non-Controlling Interest:	$ M	**1,781.1**	**2,059.4**	**2,268.1**	**2,678.2**
(-) Non-Controlling Interest:	$ M	(4.7)	(5.2)	(5.6)	(6.0)
Net Income to Parent:	$ M	**$ 1,776.3**	**$ 2,054.2**	**$ 2,262.5**	**$ 2,672.2**
(+) Acquirer - Diluted Shares:	M Shares	2,401.6	2,401.6	2,401.6	2,401.6
(+) Shares Issued in Transaction:	M Shares	0.0	0.0	0.0	0.0
Total Diluted Shares:	M Shares	**2,401.6**	**2,401.6**	**2,401.6**	**2,401.6**

Combined Balance Sheet – Scenario 1

Balance Sheet Combination:	Units:	Acquirer FY27	Target FY27	Pro-Forma Adjustments: Debit	Credit	FY27	Projected FY28	FY29	FY30	FY31
ASSETS:										
Current Assets:										
Cash & Cash Equivalents:	$ M	$ 925.8	$ 1,455.7	$ -	$ (2,252.3)	$ 129.2	$ 100.0	$ 100.0	$ 100.0	$ 100.0
Accounts Receivable:	$ M	1,885.3	1,334.7	-	-	3,220.0	3,541.8	3,862.5	4,111.5	4,355.9
Inventory & Other Current Assets:	$ M	4,711.3	2,400.0	-	-	7,111.3	7,607.9	8,268.1	8,766.7	9,183.5
Total Current Assets:	$ M	**7,522.4**	**5,190.4**			**10,460.5**	**11,249.7**	**12,230.6**	**12,978.2**	**13,639.4**
Long-Term Assets:										
Plants, Property & Equipment (Including Intangibles):	$ M	2,749.6	2,050.2	4,249.7	-	9,049.5	8,896.8	8,754.8	8,616.9	8,483.3
Operating Lease Assets:	$ M	131.1	-	-	-	131.1	148.2	170.7	182.7	193.6
Goodwill:	$ M	1,061.5	4,153.0	3,504.1	(4,153.0)	4,565.6	4,565.6	4,565.6	4,565.6	4,565.6
Other Long-Term Assets:	$ M	988.6	1,975.3	-	-	2,964.0	3,091.2	3,227.4	3,290.6	3,359.6
Total Long-Term Assets:	$ M	**4,930.9**	**8,178.5**			**16,710.2**	**16,701.9**	**16,718.5**	**16,655.8**	**16,602.2**
TOTAL ASSETS:	$ M	**$ 12,453.3**	**$ 13,368.9**			**$ 27,170.7**	**$ 27,951.5**	**$ 28,949.2**	**$ 29,634.0**	**$ 30,241.6**
LIABILITIES & EQUITY:										
Current Liabilities:										
Accounts Payable:	$ M	$ 877.5	$ 849.3	-	-	1,726.9	$ 1,750.8	$ 1,817.8	$ 1,870.8	$ 1,888.9
Accrued Expenses & Other:	$ M	1,371.2	1,348.6	-	-	2,719.7	2,815.9	2,914.8	3,004.8	3,118.1
Total Current Liabilities:	$ M	**2,248.7**	**2,197.9**			**4,446.6**	**4,566.7**	**4,732.6**	**4,875.6**	**5,007.1**
Long-Term Liabilities:										
Existing Debt:	$ M	-	8,644.0	(8,644.0)	-	-	-	-	-	-
New Transaction Debt:	$ M	-	-	(105.4)	10,539.9	10,434.5	9,873.3	9,273.9	8,256.9	6,811.4
Operating Lease Liabilities:	$ M	93.6	-	-	-	93.6	90.87	92.06	81.18	67.93
Net Deferred Tax Liability (DTL):	$ M	40.8	57.0	(57.0)	1,069.7	1,110.5	1,036.1	961.8	887.5	813.2
Other Long-Term Liabilities:	$ M	137.1	1,065.3	-	-	1,202.4	1,243.2	1,291.6	1,317.2	1,347.3
Total Long-Term Liabilities:	$ M	**271.5**	**9,766.3**			**12,840.9**	**12,243.5**	**11,619.3**	**10,542.8**	**9,039.9**
Total Liabilities:	$ M	**$ 2,520.2**	**$ 11,964.2**			**$ 17,287.5**	**$ 16,810.2**	**$ 16,352.0**	**$ 15,418.4**	**$ 14,046.9**
Common Shareholders' Equity:	$ M	**$ 9,933.2**	**$ 1,404.7**	**(1,454.6)**	**-**	**9,883.2**	$ 11,141.3	$ 12,597.2	$ 14,215.6	$ 16,194.6
TOTAL LIABILITIES & EQUITY:	$ M	**$ 12,453.3**	**$ 13,368.9**			**$ 27,170.7**	**$ 27,951.5**	**$ 28,949.2**	**$ 29,634.0**	**$ 30,241.6**
Balance Sheet Check:		*OK!*	*OK!*			*OK!*	*OK!*	*OK!*	*OK!*	*OK!*

Combined Cash Flow Statement – Scenario 1

Cash Flow and Debt Repayment:	Units:		Projected - Combined Period: FY28	FY29	FY30	FY31
Net Income:			**$ 1,786.2**	**$ 2,065.1**	**$ 2,274.3**	**$ 2,684.8**
(+) Depreciation and Amortization:			656.0	687.6	719.7	750.8
(+) Depreciation of PP&E Write-Up:	*$ M*		25.6	25.6	25.6	25.6
(+) Amortization of New Intangibles:	*$ M*		269.6	269.6	269.6	269.6
(+) Amortization of Financing Fees:	*$ M*		21.1	21.1	21.1	21.1
(-) New Deferred Income Tax:	*$ M*		(74.3)	(74.3)	(74.3)	(74.3)
(+) Acquired in-process research and development and mi	*$ M*		(30.1)	(30.3)	(30.7)	(31.2)
(+) Goodwill Impairment:	*$ M*		-	-	-	-
(+/-) Deferred Income Tax:	*$ M*		-	-	-	-
(+) Stock-based Compensation:	*$ M*		66.7	61.0	61.8	62.9
(+/-) Other Items:	*$ M*		(90.6)	(95.1)	(9.6)	(13.2)
(+/-) Change in Working Capital:	*$ M*		(265.0)	(255.3)	(285.6)	(237.1)
Cash Flow from Operations:	*$ M*		**$ 2,365.2**	**$ 2,675.1**	**$ 2,972.0**	**$ 3,459.0**
(+/-) Net Capex:	*$ M*		(542.9)	(572.4)	(601.8)	(629.8)
(+/-) Disposal / Acquisition of Subsidiary:	*$ M*		(195.3)	(207.7)	(213.6)	(220.0)
(+/-) Net Investments:	*$ M*		(429.2)	(552.4)	(347.1)	(318.3)
(+/-) Acquired in-process research and development and r	*$ M*		(30.3)	(30.5)	(30.9)	(31.4)
Cash Flow from Investing:	*$ M*		**$ (1,197.7)**	**$ (1,363.0)**	**$ (1,193.4)**	**$ (1,199.6)**
(+) Proceeds from Borrowings:	*$ M*		-	-	-	-
(-) Repayment of Borrowings:	*$ M*		-	-	-	-
(-) New Debt Principal Repayments:	*$ M*		(582.2)	(620.5)	(1,038.0)	(1,466.5)
(-) Lease Principal Repayment:	*$ M*		(19.8)	(21.3)	(22.8)	(24.2)
(-) Dividends Payment:	*$ M*		(594.8)	(670.3)	(717.7)	(768.6)
(-) Payment of Issuance Cost:	*$ M*		-	-	-	-
(-) Employee withholding taxes related to stock-based aw	*$ M*		-	-	-	-
(+/-) Other Items:	*$ M*		-	-	-	-
Cash Flow from Financing:	*$ M*		**$ (1,196.8)**	**$ (1,312.1)**	**$ (1,778.6)**	**$ (2,259.4)**
Net Change in Cash:	*$ M*		**(29.2)**	**-**	**(0.0)**	**0.0**
Total Cash Balance:	*$ M*	**129.2**	**100.0**	**100.0**	**100.0**	**100.0**

Combined Income Statement – Scenario 2

Combined Income Statement:	Units:	Projected - Combined Period: FY28	FY29	FY30	FY31
(+) Sun Pharma Revenue:	$ M	$ 7,404.3	$ 7,996.6	$ 8,556.4	$ 9,069.7
(+) Organon Revenue:	$ M	6,063.3	6,098.1	6,178.3	6,288.5
Total Revenue:	$ M	**13,467.5**	**14,094.7**	**14,734.7**	**15,358.3**
(-) Cost of Sales:	$ M	(4,248.4)	(4,324.5)	(4,498.6)	(4,553.1)
Gross Profit:	$ M	**9,219.1**	**9,770.2**	**10,236.0**	**10,805.2**
(-) Selling, General & Administration Expenses:	$ M	(4,566.4)	(4,898.1)	(5,226.5)	(5,480.2)
(-) Research & Development:	$ M	(710.4)	(728.7)	(762.4)	(795.1)
(+) OpEx Synergies:	$ M	35.0	105.0	210.0	350.0
(-) Merger Integration Costs:	$ M	(140.0)	(84.0)	(56.0)	-
(-) Amortization of New Intangibles:	$ M	(269.6)	(269.6)	(269.6)	(269.6)
(-) Depreciation of PP&E Write-Up:	$ M	(25.6)	(25.6)	(25.6)	(25.6)
(-) Acquired in-process research and development and mil	$ M	(30.1)	(30.3)	(30.7)	(31.2)
(-) Depreciation & Amortization:	$ M	(656.0)	(687.6)	(719.7)	(750.8)
Operating Expenses:	$ M	**(6,363.1)**	**(6,619.0)**	**(6,880.5)**	**(7,002.6)**
Operating Profit:	$ M	**2,856.0**	**3,151.2**	**3,355.5**	**3,802.6**
(-) Interest Expense:	$ M	(8.3)	(8.2)	(7.8)	(6.7)
(+) Interest Income:	$ M	161.2	188.3	217.9	249.5
(-) Foregone Interest on Cash:	$ M	(69.1)	(69.1)	(69.1)	(69.1)
(-) Interest Expense on New Debt:	$ M	(460.2)	(423.0)	(373.2)	(299.9)
(-) Amortization of Financing Fees:	$ M	(17.6)	(17.6)	(17.6)	(17.6)
(+/-) Other Income / (Expense):	$ M	26.2	43.5	43.1	43.0
(-) Goodwill Impairment:	$ M	-	-	-	-
Pre-Tax Income:	$ M	**2,488.3**	**2,865.1**	**3,148.8**	**3,701.8**
(-) Income Tax:	$ M	(626.3)	(721.1)	(792.6)	(931.8)
Net Income before JV and Associates:	$ M	**1,862.0**	**2,143.9**	**2,356.3**	**2,770.1**
(+/-) Share of Profit/(Loss) from JV and Associates:	$ M	(5.2)	(5.7)	(6.2)	(6.6)
Net Income before Non-Controlling Interest:	$ M	**1,856.8**	**2,138.2**	**2,350.1**	**2,763.5**
(-) Non-Controlling Interest:	$ M	(4.7)	(5.2)	(5.6)	(6.0)
Net Income to Parent:	$ M	**$ 1,852.1**	**$ 2,133.0**	**$ 2,344.5**	**$ 2,757.5**
(+) Acquirer - Diluted Shares:	M Shares	2,401.6	2,401.6	2,401.6	2,401.6
(+) Shares Issued in Transaction:	M Shares	93.9	93.9	93.9	93.9
Total Diluted Shares:	M Shares	**2,495.4**	**2,495.4**	**2,495.4**	**2,495.4**

Combined Balance Sheet – Scenario 2

Balance Sheet Combination:	Units:	Acquirer FY27	Target FY27	Pro-Forma Adjustments: Debit	Credit	FY27	Projected FY28	FY29	FY30	FY31
ASSETS:										
Current Assets:										
Cash & Cash Equivalents:	$ M	$ 925.8	$ 1,455.7	$ -	$ (2,252.3)	$ 129.2	$ 100.0	$ 100.0	$ 100.0	$ 100.0
Accounts Receivable:	$ M	1,885.3	1,334.7	-	-	3,220.0	3,541.8	3,862.5	4,111.5	4,355.9
Inventory & Other Current Assets:	$ M	4,711.3	2,400.0	-	-	7,111.3	7,607.9	8,268.1	8,766.7	9,183.5
Total Current Assets:	$ M	**7,522.4**	**5,190.4**			**10,460.5**	**11,249.7**	**12,230.6**	**12,978.2**	**13,639.4**
Long-Term Assets:										
Plants, Property & Equipment (Including Intangibles):	$ M	2,749.6	2,050.2	4,249.7	-	9,049.5	8,896.8	8,754.8	8,616.9	8,483.3
Operating Lease Assets:	$ M	131.1	-	-	-	131.1	148.2	170.7	182.7	193.6
Goodwill:	$ M	1,061.5	4,153.0	3,504.1	(4,153.0)	4,565.6	4,565.6	4,565.6	4,565.6	4,565.6
Other Long-Term Assets:	$ M	988.6	1,975.3	-	-	2,964.0	3,091.2	3,227.4	3,290.6	3,359.6
Total Long-Term Assets:	$ M	**4,930.9**	**8,178.5**			**16,710.2**	**16,701.9**	**16,718.5**	**16,655.8**	**16,602.2**
TOTAL ASSETS:	$ M	**$ 12,453.3**	**$ 13,368.9**			**$ 27,170.7**	**$ 27,951.5**	**$ 28,949.2**	**$ 29,634.0**	**$ 30,241.6**
LIABILITIES & EQUITY:										
Current Liabilities:										
Accounts Payable:	$ M	$ 877.5	$ 849.3	-	-	1,726.9	$ 1,750.8	$ 1,817.8	$ 1,870.8	$ 1,888.9
Accrued Expenses & Other:	$ M	1,371.2	1,348.6	-	-	2,719.7	2,815.9	2,914.8	3,004.8	3,118.1
Total Current Liabilities:	$ M	**2,248.7**	**2,197.9**			**4,446.6**	**4,566.7**	**4,732.6**	**4,875.6**	**5,007.1**
Long-Term Liabilities:										
Existing Debt:	$ M	-	8,644.0	(8,644.0)	-	-	-	-	-	-
New Transaction Debt:	$ M	-	-	(87.8)	8,781.7	8,693.9	8,057.0	7,378.8	6,279.9	4,749.2
Operating Lease Liabilities:	$ M	93.6	-	-	-	93.6	90.87	92.06	81.18	67.93
Net Deferred Tax Liability (DTL):	$ M	40.8	57.0	(57.0)	1,069.7	1,110.5	1,036.1	961.8	887.5	813.2
Other Long-Term Liabilities:	$ M	137.1	1,065.3	-	-	1,202.4	1,243.2	1,291.6	1,317.2	1,347.3
Total Long-Term Liabilities:	$ M	**271.5**	**9,766.3**			**11,100.4**	**10,427.2**	**9,724.3**	**8,565.8**	**6,977.6**
Total Liabilities:	$ M	**$ 2,520.2**	**$ 11,964.2**			**$ 15,547.0**	**$ 14,993.9**	**$ 14,456.9**	**$ 13,441.4**	**$ 11,984.7**
Common Shareholders' Equity:	$ M	**$ 9,933.2**	**$ 1,404.7**	**(1,454.6)**	**1,740.5**	**11,623.8**	$ 12,957.6	$ 14,492.3	$ 16,192.6	$ 18,256.9
TOTAL LIABILITIES & EQUITY:	$ M	**$ 12,453.3**	**$ 13,368.9**			**$ 27,170.7**	**$ 27,951.5**	**$ 28,949.2**	**$ 29,634.0**	**$ 30,241.6**
Balance Sheet Check:		*OK!*	*OK!*			*OK!*	*OK!*	*OK!*	*OK!*	*OK!*

Combined Cash Flow Statement – Scenario 2

Cash Flow and Debt Repayment:	Units:		Projected - Combined Period: FY28	FY29	FY30	FY31
Net Income:			**$ 1,862.0**	**$ 2,143.9**	**$ 2,356.3**	**$ 2,770.1**
(+) Depreciation and Amortization:			656.0	687.6	719.7	750.8
(+) Depreciation of PP&E Write-Up:	*$ M*		25.6	25.6	25.6	25.6
(+) Amortization of New Intangibles:	*$ M*		269.6	269.6	269.6	269.6
(+) Amortization of Financing Fees:	*$ M*		17.6	17.6	17.6	17.6
(-) New Deferred Income Tax:	*$ M*		(74.3)	(74.3)	(74.3)	(74.3)
(+) Acquired in-process research and development and mi	*$ M*		(30.1)	(30.3)	(30.7)	(31.2)
(+) Goodwill Impairment:	*$ M*		-	-	-	-
(+/-) Deferred Income Tax:	*$ M*		-	-	-	-
(+) Stock-based Compensation:	*$ M*		66.7	61.0	61.8	62.9
(+/-) Other Items:	*$ M*		(90.6)	(95.1)	(9.6)	(13.2)
(+/-) Change in Working Capital:	*$ M*		(265.0)	(255.3)	(285.6)	(237.1)
Cash Flow from Operations:	*$ M*		**$ 2,437.5**	**$ 2,750.4**	**$ 3,050.4**	**$ 3,540.7**
(+/-) Net Capex:	*$ M*		(542.9)	(572.4)	(601.8)	(629.8)
(+/-) Disposal / Acquisition of Subsidiary:	*$ M*		(195.3)	(207.7)	(213.6)	(220.0)
(+/-) Net Investments:	*$ M*		(429.2)	(552.4)	(347.1)	(318.3)
(+/-) Acquired in-process research and development and r	*$ M*		(30.3)	(30.5)	(30.9)	(31.4)
Cash Flow from Investing:	*$ M*		**$ (1,197.7)**	**$ (1,363.0)**	**$ (1,193.4)**	**$ (1,199.6)**
(+) Proceeds from Borrowings:	*$ M*		-	-	-	-
(-) Repayment of Borrowings:	*$ M*		-	-	-	-
(-) New Debt Principal Repayments:	*$ M*		(654.5)	(695.8)	(1,116.5)	(1,548.3)
(-) Lease Principal Repayment:	*$ M*		(19.8)	(21.3)	(22.8)	(24.2)
(-) Dividends Payment:	*$ M*		(594.8)	(670.3)	(717.7)	(768.6)
(-) Payment of Issuance Cost:	*$ M*		-	-	-	-
(-) Employee withholding taxes related to stock-based aw	*$ M*		-	-	-	-
(+/-) Other Items:	*$ M*		-	-	-	-
Cash Flow from Financing:	*$ M*		**$ (1,269.0)**	**$ (1,387.4)**	**$ (1,857.0)**	**$ (2,341.1)**
Net Change in Cash:	*$ M*		**(29.2)**	**-**	**(0.0)**	**0.0**
Total Cash Balance:	*$ M*	**129.2**	**100.0**	**100.0**	**100.0**	**100.0**

Target Income Statement

Seller - Income Statement:	Units:	Historical: CY23	CY24	CY25	Projected: CY26	CY27	CY28	CY29	CY30
Revenue From Segments:									
(+) Women's Health:	*$ M*	1,702.0	1,777.0	1,752.00	1,646.4	1,629.9	1,629.9	1,646.2	1,670.9
(+) Biosimilars:	*$ M*	593.0	662.0	691.00	725.6	754.6	777.2	800.5	816.5
(+) Cardiovascular:	*$ M*	1,460.0	1,323.0	1,135.00	1,021.5	950.0	902.5	875.4	875.4
(+) Respiratory:	*$ M*	1,064.0	1,018.0	842.00	757.8	704.8	669.5	649.4	649.4
(+) Non-Opioid Pain, Bone and Dermatology:	*$ M*	782.0	867.0	987.00	1,066.0	1,140.6	1,209.0	1,269.5	1,320.2
(+) Others:	*$ M*	662.0	756.0	809.00	849.5	883.4	909.9	937.2	956.0
Total Revenue:	*$ M*	**6,263.0**	**6,403.0**	**6,216.0**	**6,066.7**	**6,063.3**	**6,098.1**	**6,178.3**	**6,288.5**
(-) Cost of Sales:	*$ M*	(2,515.0)	(2,688.0)	(2,903.00)	(2,851.3)	(2,819.4)	(2,805.1)	(2,872.9)	(2,829.8)
Gross Profit:	*$ M*	**3,748.0**	**3,715.0**	**3,313.0**	**3,215.3**	**3,243.8**	**3,293.0**	**3,305.4**	**3,458.7**
Operating Expenses:									
(-) Selling, General & Administration Expenses:	*$ M*	(1,657.0)	(1,483.0)	(1,360.00)	(1,304.3)	(1,273.3)	(1,341.6)	(1,421.0)	(1,446.4)
(-) Research & Development Expenses:	*$ M*	(528.0)	(469.0)	(366.00)	(303.3)	(303.2)	(304.9)	(308.9)	(314.4)
(-) Acquired in-process research and development and milestones:	*$ M*	(8.0)	(81.0)	(6.00)	(30.1)	(30.1)	(30.3)	(30.7)	(31.2)
(-) Depreciation & Amortization:	*$ M*	(236.0)	(277.0)	(361.00)	(281.1)	(281.0)	(282.6)	(286.3)	(291.4)
Total Operating Expenses:	*$ M*	**(2,429.0)**	**(2,310.0)**	**(2,093.0)**	**(1,918.9)**	**(1,887.5)**	**(1,959.3)**	**(2,046.9)**	**(2,083.4)**
Operating Income:	*$ M*	**1,319.0**	**1,405.0**	**1,220.0**	**1,296.4**	**1,356.3**	**1,333.6**	**1,258.5**	**1,375.3**
(-) Interest Expense:	*$ M*	(527.0)	(520.0)	(504.00)	(425.3)	(425.3)	(475.4)	(475.4)	(475.4)
(+/-) Other Income / (Expense):	*$ M*	(119.0)	(78.0)	10.00	30.3	42.4	61.0	61.8	62.9
(-) Goodwill Impairment:	*$ M*	-	-	(301.00)	-	-	-	-	-
Pre-Tax Income:	*$ M*	**673.0**	**807.0**	**425.0**	**901.5**	**973.5**	**919.2**	**844.9**	**962.7**
(+/-) Income Tax (Expense) / Income:	*$ M*	350.0	57.0	(238.00)	(293.0)	(316.4)	(298.7)	(274.6)	(312.9)
Net Income:	*$ M*	**1,023.0**	**864.0**	**187.0**	**608.5**	**657.1**	**620.5**	**570.3**	**649.9**
EBITDA	*$ M*	**1,555.0**	**1,682.0**	**1,581.0**	**1,577.5**	**1,637.3**	**1,616.2**	**1,544.8**	**1,666.7**
Earnings Per Share (EPS):	*$ / Share*	**4.0**	**3.4**	**0.7**	**2.4**	**2.6**	**2.4**	**2.2**	**2.5**
Average Diluted Shares:	*M Shares*	256.3	256.3	256.3	256.3	256.3	256.3	256.3	256.3

Target Balance Sheet

Seller - Balance Sheet:	Units:	Historical: CY23	CY24	CY25	Projected: CY26	CY27	CY28	CY29	CY30
ASSETS:									
Current Assets:									
Cash & Cash Equivalents:	$ M		675.0	574.0	1,455.7	1,814.9	2,099.3	2,414.3	2,844.7
Accounts Receivable:	$ M		1,358.0	1,331.0	1,334.7	1,394.6	1,463.5	1,544.6	1,635.0
Inventory:	$ M		1,321.0	1,406.0	1,368.6	1,353.3	1,374.5	1,422.1	1,414.9
Other Current Assets:	$ M		994.0	1,033.0	1,031.3	1,061.1	1,097.7	1,143.0	1,194.8
Total Current Assets:	$ M		**4,348.0**	**4,344.0**	**5,190.4**	**5,623.9**	**6,035.0**	**6,523.9**	**7,089.5**
Long-Term Assets:									
Plants, Property & Equipment (Including Intangibles):	$ M		2,582.0	2,433.0	2,050.2	2,107.3	2,164.8	2,223.0	2,282.2
Goodwill:	$ M		4,680.0	4,153.0	4,153.0	4,153.0	4,153.0	4,153.0	4,153.0
Other Long-Term Assets:	$ M		1,491.0	1,539.0	1,577.3	1,697.7	1,829.4	1,853.5	1,886.6
Total Long-Term Assets:	$ M		**8,753.0**	**8,125.0**	**7,780.5**	**7,958.0**	**8,147.2**	**8,229.5**	**8,321.8**
Assets Classified as Held for Sale:	$ M		-	398.0	398.0	398.0	398.0	398.0	398.0
TOTAL ASSETS:	$ M		**13,101.0**	**12,867.0**	**13,368.9**	**13,979.9**	**14,580.2**	**15,151.4**	**15,809.3**
LIABILITIES & EQUITY:									
Current Liabilities:									
Accounts Payable:	$ M		1,153.0	952.0	849.3	788.2	762.3	741.4	691.7
Accrued Liabilities:	$ M		1,411.0	1,335.0	1,213.3	1,152.0	1,097.7	1,081.2	1,069.1
Income Tax Payable:	$ M		134.0	85.0	135.2	146.0	137.9	126.7	144.4
Total Current Liabilities:	$ M		**2,698.0**	**2,372.0**	**2,197.9**	**2,086.3**	**1,997.8**	**1,949.3**	**1,905.2**
Long-Term Liabilities:									
Total Debt:	$ M		8,880.0	8,644.0	8,644.0	8,644.0	8,644.0	8,644.0	8,644.0
Deferred Income Tax:	$ M		74.0	57.0	57.0	57.0	57.0	57.0	57.0
Other Long-Term Liabilities:	$ M		977.0	1,008.0	1,031.3	1,061.1	1,097.7	1,112.1	1,131.9
Total Long-Term Liabilities:	$ M		**9,931.0**	**9,709.0**	**9,732.3**	**9,762.1**	**9,798.7**	**9,813.1**	**9,832.9**
Liabilities Classified as Held for Sale:	$ M		-	34.0	34.0	34.0	34.0	34.0	34.0
Total Liabilities:	$ M		**12,629.0**	**12,115.0**	**11,964.2**	**11,882.3**	**11,830.5**	**11,796.4**	**11,772.1**
Common Shareholders' Equity:	$ M		472.0	752.0	**1,404.7**	**2,097.5**	**2,749.8**	**3,355.0**	**4,037.2**
TOTAL LIABILITIES & EQUITY:	$ M		**13,101.0**	**12,867.0**	**13,368.9**	**13,979.9**	**14,580.2**	**15,151.4**	**15,809.3**
Balance Sheet Check:			*OK!*	*OK!*	*OK!*	*OK!*	*OK!*	*OK!*	*OK!*

Target Cash Flow Statement

Seller - Cash Flow Statement:	Units:	Historical: CY23	CY24	CY25	Projected: CY26	CY27	CY28	CY29	CY30
Net Income:	$ M	**1,023**	**864**	**187**	**608.5**	**657.1**	**620.5**	**570.3**	**649.9**
(+) Depreciation and Amortization:	$ M	236	277	361	281.1	281.0	282.6	286.3	291.4
(+) Acquired in-process research and development and milestones:	$ M	8	81	6	30.1	30.1	30.3	30.7	31.2
(+) Goodwill Impairment:	$ M	-	-	301	-	-	-	-	-
(+/-) Deferred Income Tax:	$ M	(485)	(160)	63	-	-	-	-	-
(+) Stock-based Compensation:	$ M	101	105	77	72.8	66.7	61.0	61.8	62.9
(+/-) Other Items:	$ M	71	50	(48)	(15.0)	(90.6)	(95.1)	(9.6)	(13.2)
Changes in Working Capital:									
(+/-) Change in Accounts Receivable:	$ M	(212)	383	79	(3.7)	(59.9)	(69.0)	(81.0)	(90.4)
(+/-) Change in Inventory:	$ M	(230)	(131)	(13)	37.4	15.3	(21.2)	(47.6)	7.2
(+/-) Changes in Other Current Assets:	$ M	(10)	(236)	(32)	1.7	(29.7)	(36.6)	(45.3)	(51.8)
(+/-) Change in Accounts Payable:	$ M	163	(157)	(217)	(102.7)	(61.1)	(26.0)	(20.9)	(49.7)
(+/-) Change in Accured Liabilities:	$ M	102	(101)	(142)	(121.7)	(61.3)	(54.4)	(16.5)	(12.2)
(+/-) Income Taxes Payable:	$ M	16	(65)	(61)	50.2	10.8	(8.1)	(11.1)	17.7
(+/-) Others:	$ M	16	29	139	-	-	-	-	-
Cash Flow from Operations:	$ M	**799**	**939**	**700**	**838.8**	**758.3**	**683.9**	**717.0**	**842.9**
(+/-) Net Capex:	$ M	(250)	(171)	(161)	252.9	(187.0)	(188.1)	(190.5)	(193.9)
(+/-) Acquired in-process research and development and milestones:	$ M	(8)	(71)	(30)	(30.3)	(30.3)	(30.5)	(30.9)	(31.4)
(+/-) Acquisition:	$ M	(2)	(271)	(199)	(151.0)	(150.9)	(151.8)	(153.8)	(156.5)
Cash Flow from Investing:	$ M	**(260)**	**(513)**	**(390)**	**71.6**	**(368.2)**	**(370.3)**	**(375.2)**	**(381.9)**
(+) Proceeds from Borrowings:	$ M	80	1,186	1,055	-	-	-	-	-
(-) Repayment of Borrowings:	$ M	(338)	(1,197)	(1,513)	-	-	-	-	-
(-) Payment of Issuance Cost:	$ M	-	(38)	-	-	-	-	-	-
(-) Employee withholding taxes related to stock-based awards:	$ M	(17)	(22)	(15)	-	-	-	-	-
(-) Dividends Payment:	$ M	(294)	(297)	(88)	(28.6)	(30.9)	(29.2)	(26.8)	(30.6)
Cash Flow from Financing:	$ M	**(569)**	**(368)**	**(561)**	**(28.6)**	**(30.9)**	**(29.2)**	**(26.8)**	**(30.6)**
(+/-) Fx Effects in Cash:	$ M	17	(76)	150	-	-	-	-	-
Net Change in Cash:	$ M	**(13)**	**(18)**	**(101)**	**881.7**	**359.2**	**284.4**	**315.0**	**430.4**
Beginning Cash:	$ M				**574.0**	**1,455.7**	**1,814.9**	**2,099.3**	**2,414.3**
Ending Cash:	$ M			**574.0**	**1,455.7**	**1,814.9**	**2,099.3**	**2,414.3**	**2,844.7**

Acquirer Income Statement

		Historical:			Projected:				
Acquirer - Income Statement:	***Units:***	**FY24**	**FY25**	**FY26**	**FY27**	**FY28**	**FY29**	**FY30**	**FY31**
Revenue:									
(+) Revenue From Contracts with Customer:	*$ M*	5,728.0	6,089.7	6,285.2	6,788.1	7,331.1	7,917.6	8,471.8	8,980.1
(+) Other Operating Revenue:	*$ M*	88.6	62.9	26.1	67.7	73.2	79.0	84.5	89.6
Total Revenue:	*$ M*	**5,816.6**	**6,152.5**	**6,311.3**	**6,855.8**	**7,404.3**	**7,996.6**	**8,556.4**	**9,069.7**
(-) Cost of Sales:	*$ M*	(1,278.9)	(1,257.6)	(1,246.2)	(1,336.9)	(1,429.0)	(1,519.4)	(1,625.7)	(1,723.3)
Gross Profit:	*$ M*	**4,537.8**	**4,894.9**	**5,065.1**	**5,518.9**	**5,975.2**	**6,477.2**	**6,930.7**	**7,346.5**
Operating Expenses:									
(-) Selling, General & Administration Expenses:	*$ M*	(2,610.9)	(2,741.1)	(2,776.2)	(3,049.1)	(3,293.1)	(3,556.5)	(3,805.5)	(4,033.8)
(-) Research & Development:	*$ M*	(364.9)	(366.8)	(374.8)	(390.8)	(407.2)	(423.8)	(453.5)	(480.7)
(-) Depreciation & Amortization:	*$ M*	(306.6)	(301.4)	(317.2)	(347.3)	(375.0)	(405.0)	(433.4)	(459.4)
Total Operating Expenses:	*$ M*	**(3,282.4)**	**(3,409.2)**	**(3,468.1)**	**(3,787.2)**	**(4,075.3)**	**(4,385.4)**	**(4,692.3)**	**(4,973.9)**
Operating Income:	*$ M*	**1,255.3**	**1,485.7**	**1,597.1**	**1,731.7**	**1,899.9**	**2,091.9**	**2,238.3**	**2,372.6**
(-) Interest Expense:	*$ M*	(28.6)	(27.1)	(36.6)	(26.6)	(8.3)	(8.2)	(7.8)	(6.7)
(+) Interest Income:	*$ M*	122.7	143.9	98.8	142.72	161.25	188.30	217.90	249.50
(+/-) Other Income / (Expense):	*$ M*	(19.6)	6.7	(27.1)	(15.0)	(16.2)	(17.5)	(18.7)	(19.9)
Pre-Tax Income:	*$ M*	**1,329.9**	**1,609.2**	**1,632.2**	**1,832.9**	**2,036.7**	**2,254.5**	**2,429.7**	**2,595.6**
(-) Income Tax Provision:	*$ M*	(172.6)	(324.4)	(383.7)	(461.3)	(512.6)	(567.5)	(611.6)	(653.3)
Net Income before Associates and JV:	*$ M*	**1,157.2**	**1,284.8**	**1,248.5**	**1,371.6**	**1,524.0**	**1,687.0**	**1,818.2**	**1,942.3**
(+/-) Share of Profit/(Loss) from JV and Associates:	*$ M*	(4.6)	(1.8)	(6.0)	(4.7)	(5.2)	(5.7)	(6.2)	(6.6)
Net Income before Non-Controlling Interest:	*$ M*	**1,152.6**	**1,283.0**	**1,242.4**	**1,366.9**	**1,518.9**	**1,681.3**	**1,812.0**	**1,935.7**
(-) Non-Controlling Interest:	*$ M*	(4.0)	(4.2)	(3.2)	(4.2)	(4.7)	(5.2)	(5.6)	(6.0)
Net Income to Parent:	*$ M*	**1,148.6**	**1,278.9**	**1,239.3**	**1,362.7**	**1,514.2**	**1,676.1**	**1,806.4**	**1,929.7**
EBITDA	*$ M*	**1,562.0**	**1,787.0**	**1,914.2**	**2,079.0**	**2,274.9**	**2,496.9**	**2,671.7**	**2,832.0**
Earnings Per Share (EPS):	*$ / Share*	**0.48**	**0.53**	**0.52**	**0.57**	**0.63**	**0.70**	**0.75**	**0.80**
Average Diluted Shares:	*M Shares*	2,400	2,397	2,402	2,402	2,402	2,402	2,402	2,402

Acquirer Balance Sheet

Acquirer - Balance Sheet:	Units:	Historical: FY24	FY25	FY26	Projected: FY27	FY28	FY29	FY30	FY31
ASSETS:									
Current Assets:									
Cash & Cash Equivalents:	$ M	1,113.7	1,201.6	1,054.8	925.8	1,332.7	1,729.6	2,386.1	3,149.9
Accounts Receivable:	$ M	1,349.2	1,526.6	1,674.4	1,885.3	2,147.2	2,399.0	2,566.9	2,720.9
Inventory:	$ M	1,183.6	1,198.6	1,240.7	1,283.4	1,343.3	1,397.8	1,495.7	1,585.4
Other Current Assets:	$ M	1,562.8	2,227.5	2,924.2	3,427.9	3,850.2	4,398.1	4,706.0	4,988.4
Total Current Assets:	$ M	**5,209.3**	**6,154.3**	**6,894.1**	**7,522.4**	**8,673.4**	**9,924.5**	**11,154.7**	**12,444.6**
Long-Term Assets:									
Plants, Property & Equipment (Including Intangibles and CWIP):	$ M	2,340.9	2,307.1	2,733.1	2,749.6	2,774.9	2,810.2	2,847.9	2,887.9
Right-of-Use Assets:	$ M	61.8	67.2	78.2	131.1	148.2	170.7	182.7	193.6
Goodwill:	$ M	1,027.7	1,046.1	1,061.5	1,061.5	1,061.5	1,061.5	1,061.5	1,061.5
Deferred Tax Assets:	$ M	492.2	515.8	436.8	436.8	436.8	436.8	436.8	436.8
Other Long-Term Assets:	$ M	1,117.7	683.2	536.9	548.5	555.3	559.8	598.9	634.9
Total Long-Term Assets:	$ M	**5,040.3**	**4,619.3**	**4,846.6**	**4,927.6**	**4,976.8**	**5,039.0**	**5,127.9**	**5,214.8**
Assets Classified as Held for Sale	$ M	5.0	3.6	3.3	3.3	3.3	3.3	3.3	3.3
TOTAL ASSETS:	$ M	**10,254.6**	**10,777.2**	**11,744.1**	**12,453.3**	**13,653.5**	**14,966.9**	**16,285.9**	**17,662.7**
LIABILITIES & EQUITY:									
Current Liabilities:									
Total Borrowings (Including Non-Current):	$ M	341.3	218.8	440.6	-	-	-	-	-
Accounts Payable:	$ M	678.0	723.7	791.7	877.5	962.6	1,055.6	1,129.4	1,197.2
Provisions:	$ M	642.6	720.2	641.7	754.1	814.5	879.6	941.2	997.7
Other Current Liabilities:	$ M	360.2	450.6	551.6	617.0	703.4	799.7	855.6	907.0
Total Current Liabilities:	$ M	**2,022.1**	**2,113.3**	**2,425.7**	**2,248.7**	**2,480.4**	**2,734.8**	**2,926.3**	**3,101.9**
Long-Term Liabilities:									
Lease Liabilities (Includes Current Portion):	$ M	51.3	57.6	58.9	93.6	90.9	92.1	81.2	67.9
Net Deferred Tax Liability:	$ M	20.6	22.5	40.8	40.8	40.8	40.8	40.8	40.8
Other Long-Term Liabilities:	$ M	109.6	101.8	163.3	137.1	148.1	159.9	171.1	181.4
Total Long-Term Liabilities:	$ M	**181.5**	**181.9**	**263.0**	**271.5**	**279.8**	**292.8**	**293.1**	**290.1**
Liabilities Associated with Assets Held for Sale:	$ M	0.1	-	-	-	-	-	-	-
Total Liabilities:	$ M	**2,203.7**	**2,295.2**	**2,688.7**	**2,520.2**	**2,760.2**	**3,027.6**	**3,219.4**	**3,392.0**
Common Shareholders' Equity:	$ M	8,050.9	8,482.0	9,055.4	**9,933.2**	**10,893.3**	**11,939.3**	**13,066.5**	**14,270.7**
TOTAL LIABILITIES & EQUITY:	$ M	**10,254.6**	**10,777.2**	**11,744.1**	**12,453.3**	**13,653.5**	**14,966.9**	**16,285.9**	**17,662.7**
Balance Sheet Check:		*OK!*	*OK!*	*OK!*	*OK!*	*OK!*	*OK!*	*OK!*	*OK!*

Acquirer Cash Flow Statement

Acquirer - Cash Flow Statement:	Units:	Historical:			Projected:				
		FY24	FY25	FY26	FY27	FY28	FY29	FY30	FY31
Net Income:	*$ M*	**1,157.2**	**1,284.8**	**1,248.5**	**1,371.6**	**1,524.0**	**1,687.0**	**1,818.2**	**1,942.3**
(+) Depreciation and Amortization:	*$ M*	306.6	301.4	317.2	347.3	375.0	405.0	433.4	459.4
(+/-) Other Items:	*$ M*	(26.1)	(53.4)	(159.7)	-	-	-	-	-
Changes in Working Capital:									
(+/-) Change in Accounts Receivable:	*$ M*	42.3	(187.5)	(216.9)	(211.0)	(261.9)	(251.7)	(167.9)	(154.0)
(+/-) Change in Inventory:	*$ M*	71.8	(21.5)	(5.6)	(42.7)	(59.9)	(54.5)	(97.8)	(89.7)
(+/-) Changes in Other Assets:	*$ M*	(46.0)	(6.9)	(22.6)	-	-	-	-	-
(+/-) Change in Accounts Payable:	*$ M*	30.0	61.8	114.2	85.8	85.0	93.0	73.9	67.8
(+/-) Change in Provisions:	*$ M*	0.4	95.0	(24.8)	112.4	60.3	65.2	61.6	56.5
(+/-) Change in Other Liabilities:	*$ M*	28.9	21.3	18.9	39.2	97.4	108.1	67.2	61.6
Cash Flow from Operations:	*$ M*	**1,565.1**	**1,495.0**	**1,269.0**	**1,702.6**	**1,820.0**	**2,052.0**	**2,188.4**	**2,343.8**
(+/-) Net Capex:	*$ M*	(260.4)	(241.9)	(379.3)	(329.5)	(355.9)	(384.3)	(411.2)	(435.9)
(+/-) Disposal / Acquisition of Subsidiary:	*$ M*	(17.2)	(31.9)	(367.6)	(34.3)	(44.4)	(56.0)	(59.9)	(63.5)
(+/-) Net Investments:	*$ M*	194.8	(347.0)	(477.8)	(515.2)	(429.2)	(552.4)	(347.1)	(318.3)
Cash Flow from Investing:	*$ M*	**(82.8)**	**(620.9)**	**(1,224.7)**	**(879.0)**	**(829.5)**	**(992.7)**	**(818.2)**	**(817.7)**
(+) Proceeds from Borrowings:	*$ M*	548.4	393.4	561.6	-	-	-	-	-
(-) Repayment of Borrowings:	*$ M*	(972.2)	(508.3)	(368.2)	(440.6)	-	-	-	-
(-) Lease Principal Repayment:	*$ M*	(14.8)	(15.7)	(16.3)	(18.3)	(19.8)	(21.3)	(22.8)	(24.2)
(-) Dividends Payment:	*$ M*	(347.6)	(422.9)	(424.7)	(493.8)	(563.9)	(641.1)	(690.9)	(738.1)
(+/-) Other Items:	*$ M*	7.6	(345.4)	12.1	-	-	-	-	-
Cash Flow from Financing:	*$ M*	**(778.5)**	**(898.9)**	**(235.5)**	**(952.7)**	**(583.7)**	**(662.4)**	**(713.7)**	**(762.3)**
(+/-) Fx Effects in Cash:	*$ M*	(8.9)	14.4	83.8	-	-	-	-	-
(+/-) Cash Transferred / Taken-over from Acquisition:	*$ M*	0.2	(0.0)	17.6	-	-	-	-	-
Net Change in Cash:	*$ M*	**695.1**	**(10.5)**	**(89.7)**	**(129.0)**	**406.9**	**397.0**	**656.5**	**763.8**
Beginning Cash:	*$ M*				**1,054.8**	**925.8**	**1,332.7**	**1,729.6**	**2,386.1**
Ending Cash:	*$ M*				**925.8**	**1,332.7**	**1,729.6**	**2,386.1**	**3,149.9**

Limitations of the Study

Taxes	▪ Organon is taxed at 32.5% in the DCF but at Sun's 25.17% in the merger model. No structuring analysis: interest deductibility on ~$10.4bn of new debt.
Synergies	▪ $350mm of cost synergies taken from Sun's guidance. No revenue synergies or dis-synergies; total integration cost is a simple 80% of year 4 synergies.
Financing	▪ New debt modelled at 5.5% against a blended estimate of ~5.6%; the swap of Organon bonds into Sun notes is reported as under consideration, not confirmed. Organon's standalone cost of debt is 7.2%. No ratings, covenant or refinancing risk analysis.
Projections	▪ Projections of growth and margins are judgment-based, driven by management commentary.
Timing	▪ Fiscal-year mismatch (no calendarization); fixed INR/USD of 92.63 as of the announcement date. ▪ Base case discounts from the 6-Oct-2026 valuation date (1.24–9.24 years), while High and Low use annual IRR periods, so High and Low are slightly more optimistic and the cases are not strictly like-for-like.
Purchase Accounting & Fees	▪ Purchase price allocation is assumed, not valued. Similarly fee % are assumed official numbers not out yet